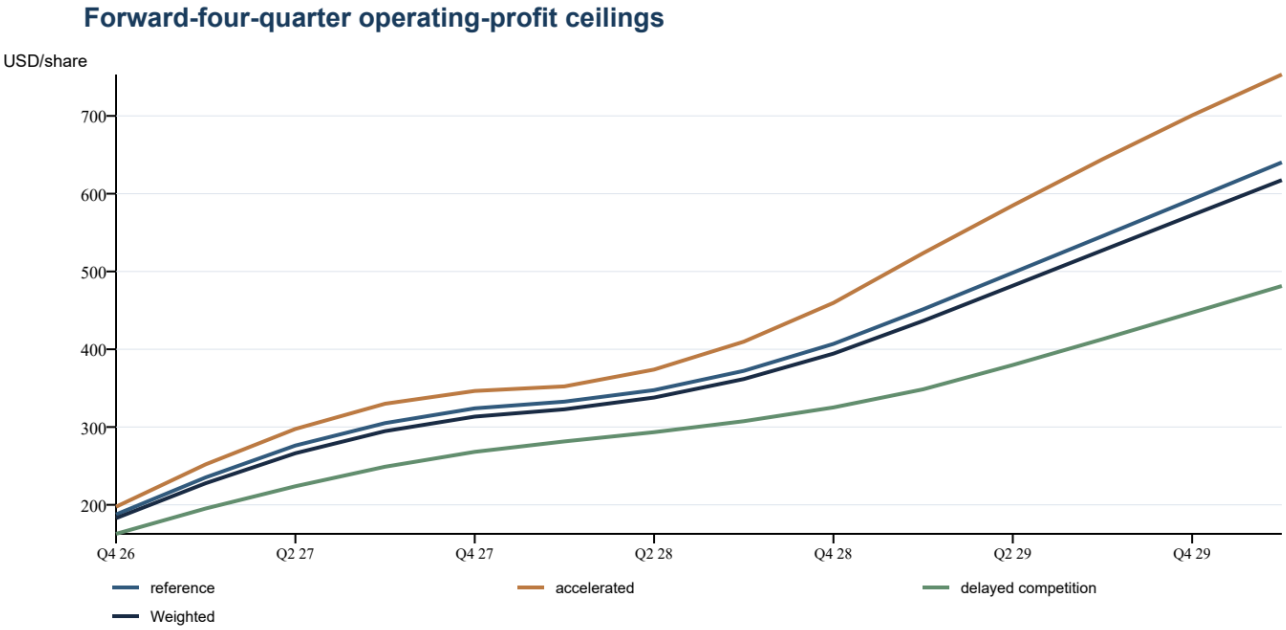
Tower Semiconductor | TSEM

Full investment review | November 4,2026 | Framework 8.0

The active Q4 2027 operating-profit ceiling is USD 313.40 per share. It values Q4 2027 through Q3 2028 at 20 times consolidated GAAP-style operating profit and 116.463 million economic diluted shares.

The investment case rests on qualified SiPho and SiGe manufacturing, committed customer roadmaps, and the conversion of capacity starts into accepted shipments. The model includes manufacturing depreciation, stock compensation, operating support and the cash needed to build the capacity.

Analytical score 45/60, equivalent to 75/100. Protected Excel Base 75 remains. Financial amounts are USD millions and shares are millions unless stated otherwise.



Current conditional and probability-weighted operating-profit valuation. Final three incomplete windows remain blank.

Numerical data: Forward-four-quarter operating-profit ceilings

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	F4 window	reference	accelerated	delayed competition	Weighted
Q4 2026	Q4 2026 to Q3 2027	187.5656	197.4885	162.6639	182.8286
Q1 2027	Q1 2027 to Q4 2027	235.2482	252.0304	195.2576	227.7679
Q2 2027	Q2 2027 to Q1 2028	276.1903	297.5252	223.8532	266.3062
Q3 2027	Q3 2027 to Q2 2028	305.0354	329.9322	248.9572	294.7504
Q4 2027	Q4 2027 to Q3 2028	324.0272	346.3906	268.0922	313.3979
Q1 2028	Q1 2028 to Q4 2028	332.6315	352.2442	281.5088	322.7928
Q2 2028	Q2 2028 to Q1 2029	347.4728	373.8913	293.3830	337.9131
Q3 2028	Q3 2028 to Q2 2029	372.2252	409.7212	307.4919	361.6663
Q4 2028	Q4 2028 to Q3 2029	406.8826	459.6305	325.1889	394.3714
Q1 2029	Q1 2029 to Q4 2029	451.3728	523.5170	348.4927	436.4744
Q2 2029	Q2 2029 to Q1 2030	498.3626	584.8470	379.7664	481.6862
Q3 2029	Q3 2029 to Q2 2030	545.4395	644.2556	412.9432	527.1379
Q4 2029	Q4 2029 to Q3 2030	592.7323	700.7151	447.0569	572.5109
Q1 2030	Q1 2030 to Q4 2030	640.2373	753.2070	481.3136	617.4518

1. Investment thesis

Tower provides specialty analog foundry processes for photonics, high-speed analog connectivity, power devices, image sensors and RF applications. Its customer value comes from process performance, qualification, yield, manufacturing consistency and a roadmap that customers can use across product generations.

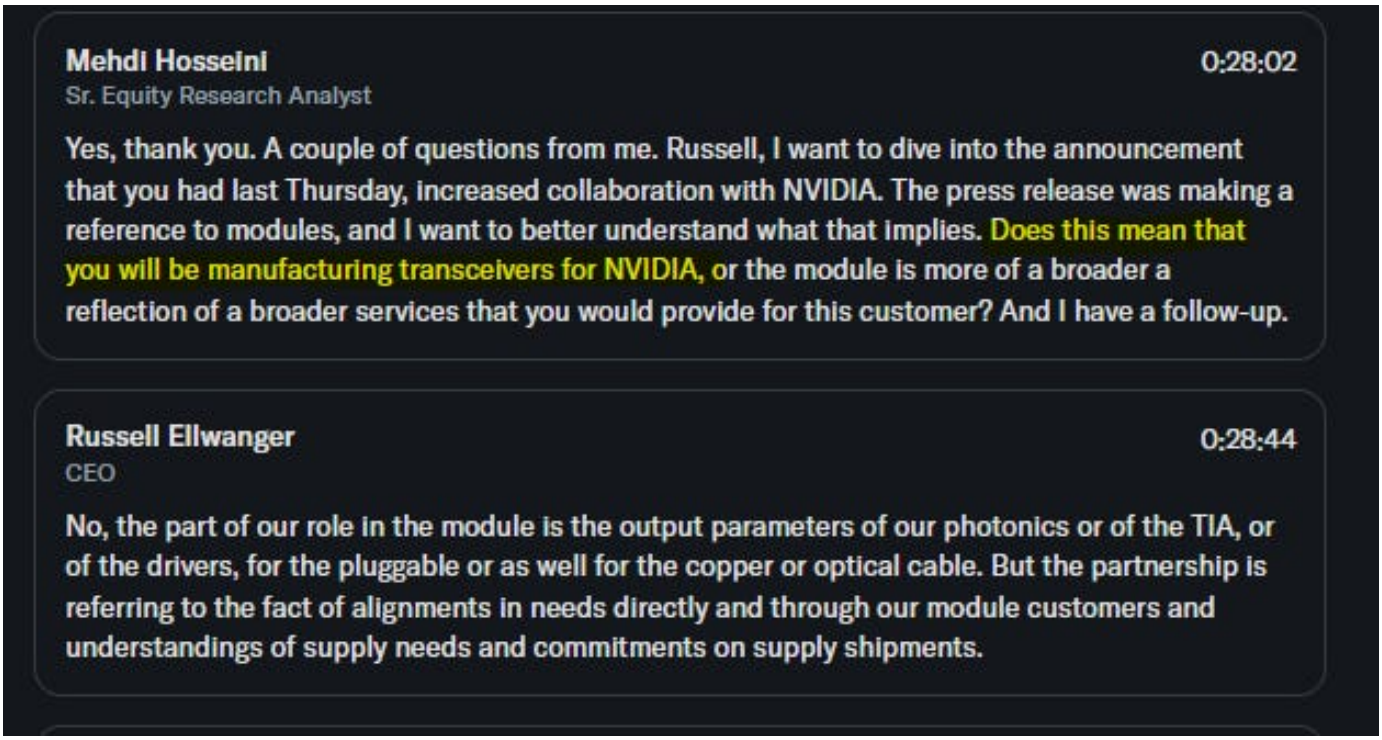
The SiPho opportunity expands as optical links carry more data inside and between AI systems. SiGe TIAs and drivers complement the photonic devices. Qualified manufacturing capacity, reliable delivery and physical integration govern the revenue conversion.

The forecast distinguishes external foundry revenue from module and system revenue. Customer module ASP, network bandwidth and estimated market size do not become Tower revenue without the corresponding wafer, process and invoice allocation.

2. Physics and the invoice boundary

Higher integration can increase die area and process content while also changing yield, cycle time and customer design choices. A 200 mm wafer and a 300 mm wafer have different area, die counts and economic costs. The 2.25 area ratio is applied only when converting physical area, and it is excluded from an already priced 300 mm wafer calculation.

NPO combines more optical channels near the compute package. Tower earns its manufacturing and integration content. Integrated lasers are modeled as additional process value within the same SiPho customer wallet; their modeled revenue is separate from the core capacity constraint and carries its own manufacturing and support cost.

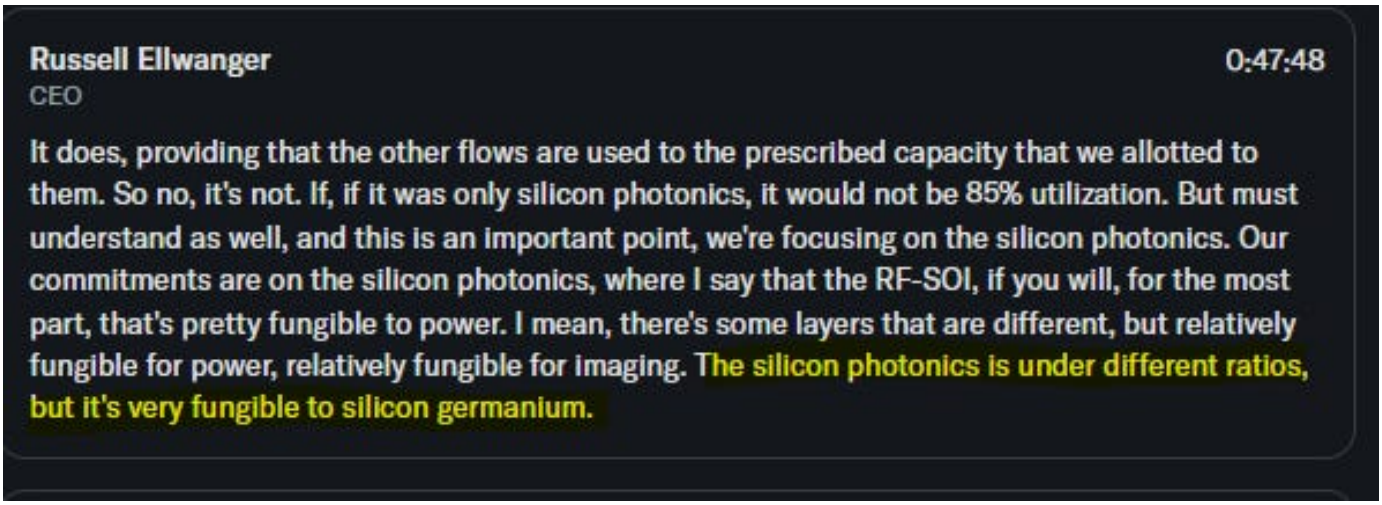


Irrational Analysis market memo, February 12,2026. Preserved excerpt about the Tower foundry invoice and customer module value.

2. Qualification and manufacturing context

A customer-qualified flow is defined by process capability, foundry location, test and reliability requirements. Nominal spare tools can coexist with a shortage in the qualified process route. The model converts capacity through a dated commissioning and shipment schedule.

The preserved February market commentary supports the technical context. It remains an attributed secondary source. The current forecast uses the dated issuer releases, full management calls and financial statements as its operating anchor.



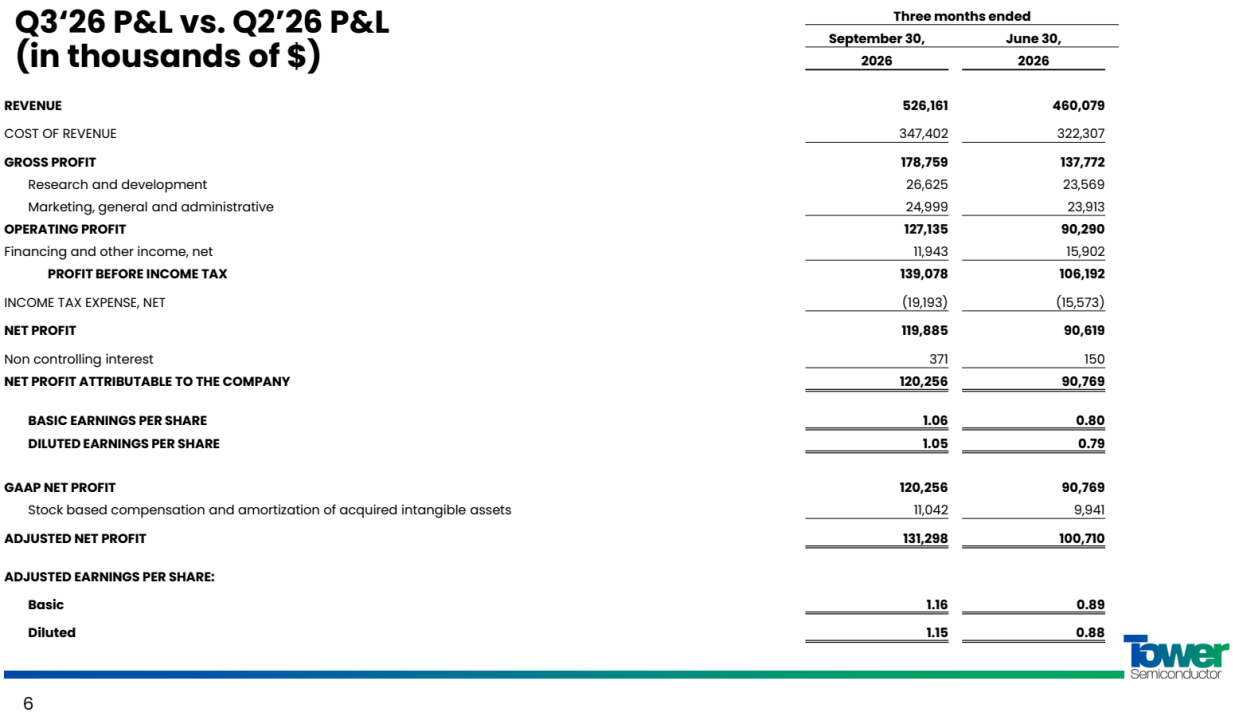
Irrational Analysis market memo, February 12,2026. Preserved management excerpt about tool/process compatibility and yield.

3. Latest reported results

For the quarter ended September 30,2026, revenue was 526.161, gross profit 178.759 and operating profit 127.135. Operating expenses were 51.624, comprising 26.625 of research and development and 24.999 of marketing/general/administrative expense. [T 1]

Net profit was 119.885 before a 0.371 noncontrolling loss attribution; parent net profit was 120.256. Diluted EPS was 1.05 on 114.463 million reported weighted-average diluted shares. Adjusted parent profit 131.298 excludes 11.042 of stock compensation and acquired-intangible amortization. The selected valuation retains these recurring costs.

Q3 metric	USD million
Revenue	526.161
Gross profit	178.759
Operating expense	51.624
Operating profit	127.135
Parent net income	120.256
Cash from operations	185.159
Cash net capital spending	190.683



Q3'26 P&L vs. Q2'26 P&L (in thousands of $)

	Three months ended September 30, 2026	Three months ended June 30, 2026
REVENUE	**526,161**	**460,079**
COST OF REVENUE	347,402	322,307
GROSS PROFIT	**178,759**	**137,772**
Research and development	26,625	23,569
Marketing, general and administrative	24,999	23,913
OPERATING PROFIT	**127,135**	**90,290**
Financing and other income, net	11,943	15,902
PROFIT BEFORE INCOME TAX	**139,078**	**106,192**
INCOME TAX EXPENSE, NET	(19,193)	(15,573)
NET PROFIT	**119,885**	**90,619**
Non controlling interest	371	150
NET PROFIT ATTRIBUTABLE TO THE COMPANY	**120,256**	**90,769**
BASIC EARNINGS PER SHARE	**1.06**	**0.80**
DILUTED EARNINGS PER SHARE	**1.05**	**0.79**
GAAP NET PROFIT	**120,256**	**90,769**
Stock based compensation and amortization of acquired intangible assets	11,042	9,941
ADJUSTED NET PROFIT	**131,298**	**100,710**
ADJUSTED EARNINGS PER SHARE:		
Basic	**1.16**	**0.89**
Diluted	**1.15**	**0.88**

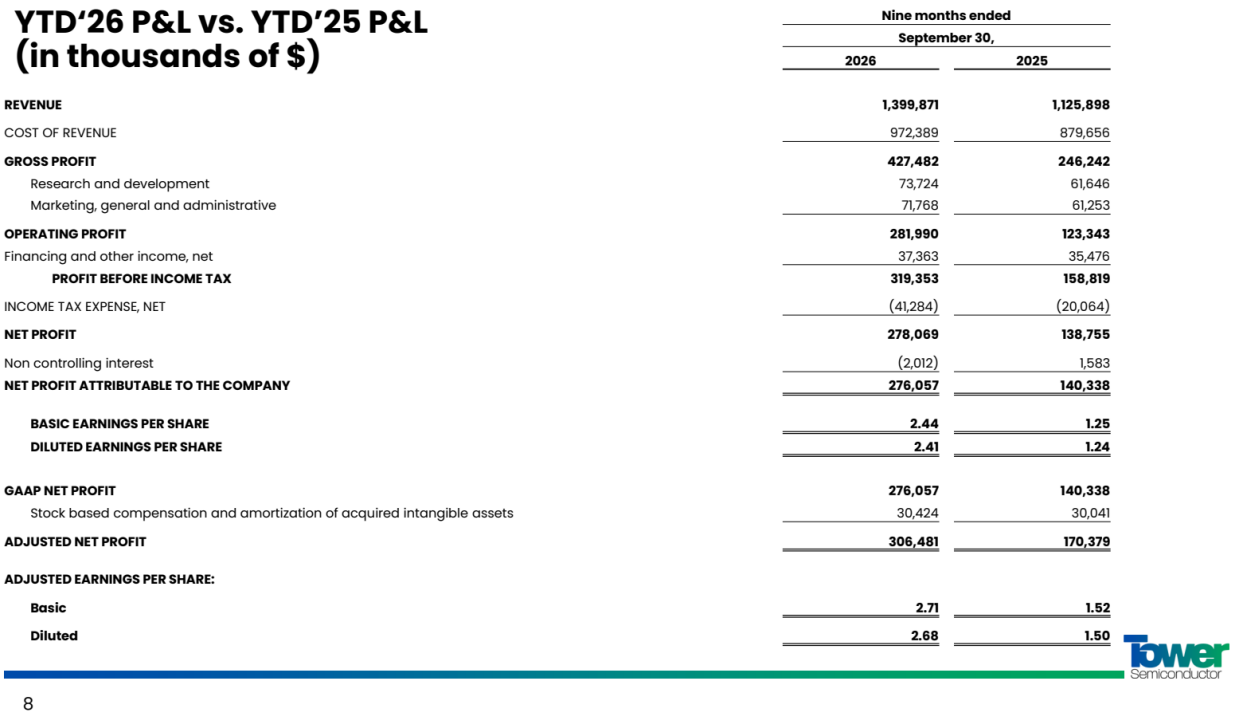
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Tower issuer presentation, November 2,2026, PDF page 6. Original source image.

3. Year-to-date reported results

The issuer provides nine-month financial results separately from the quarterly forecast. Actual cumulative figures are source anchors and retain their reported scope.



YTD'26 P&L vs. YTD'25 P&L (in thousands of $)

	Nine months ended September 30, 2026	2025
REVENUE	**1,399,871**	**1,125,898**
COST OF REVENUE	972,389	879,656
GROSS PROFIT	**427,482**	**246,242**
Research and development	73,724	61,646
Marketing, general and administrative	71,768	61,253
OPERATING PROFIT	**281,990**	**123,343**
Financing and other income, net	37,363	35,476
PROFIT BEFORE INCOME TAX	**319,353**	**158,819**
INCOME TAX EXPENSE, NET	(41,284)	(20,064)
NET PROFIT	**278,069**	**138,755**
Non controlling interest	(2,012)	1,583
NET PROFIT ATTRIBUTABLE TO THE COMPANY	**276,057**	**140,338**
BASIC EARNINGS PER SHARE	**2.44**	**1.25**
DILUTED EARNINGS PER SHARE	**2.41**	**1.24**
GAAP NET PROFIT	**276,057**	**140,338**
Stock based compensation and amortization of acquired intangible assets	30,424	30,041
ADJUSTED NET PROFIT	**306,481**	**170,379**
ADJUSTED EARNINGS PER SHARE:		
Basic	**2.71**	**1.52**
Diluted	**2.68**	**1.50**

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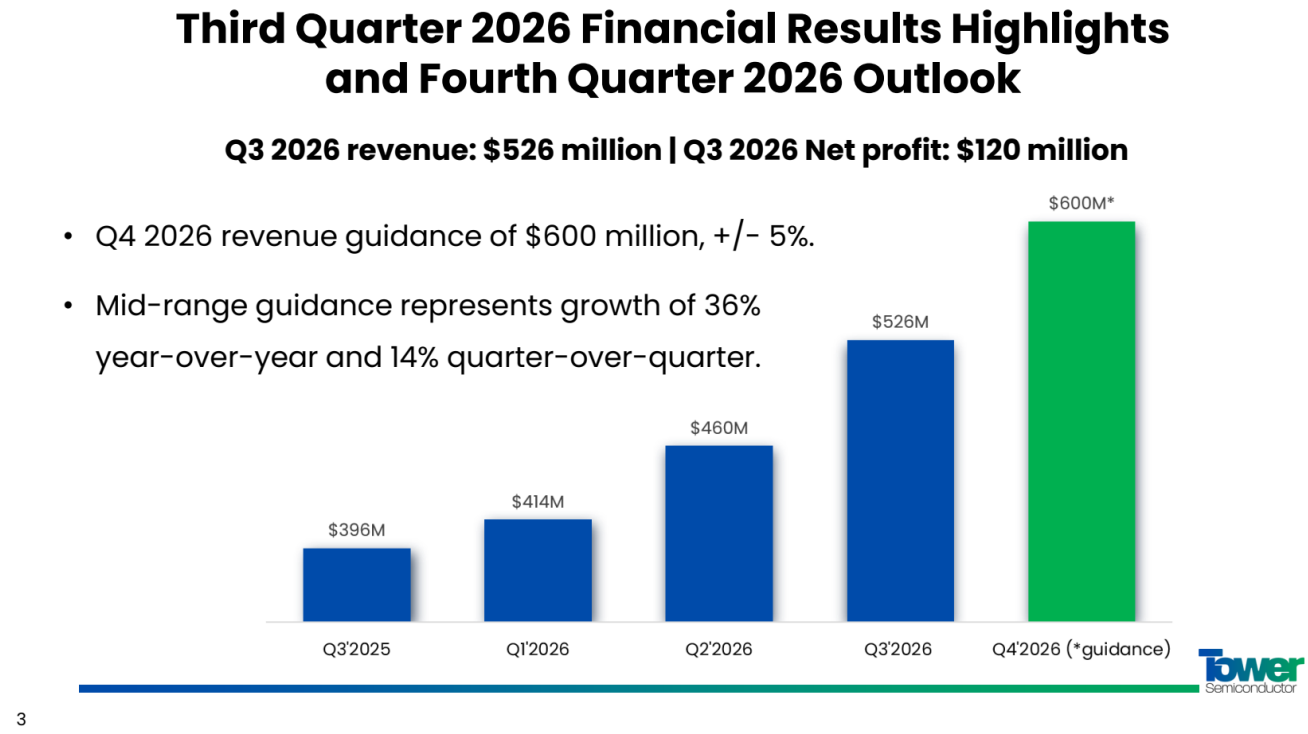
Tower issuer presentation, November 2,2026, PDF page 8. Original source image.

4. Guidance and the newest two calls

The November 2 release and supporting slides guide Q4 revenue to 600, plus or minus 5%. Management targets a 1.1 billion annualized SiPho revenue rate in Q4 and continued sequential growth into 2027. The transcript cover is dated November 3,2026; the release identifies the call as November 2. Both dates remain recorded. [T 1-T 3]

The full Q3 and Q2 issuer-hosted transcript text was read, including every question and answer:635 and 602 extracted lines, respectively. Original transcript PDF downloads returned 403; the complete supported primary text is preserved. Call audio was not listened to.

The August 4 call differentiates the 1.3 billion of 2027 customer commitments from a larger capacity opportunity. The current model treats committed demand and capacity as different inputs, and it requires capacity to become qualified and produce accepted shipments.

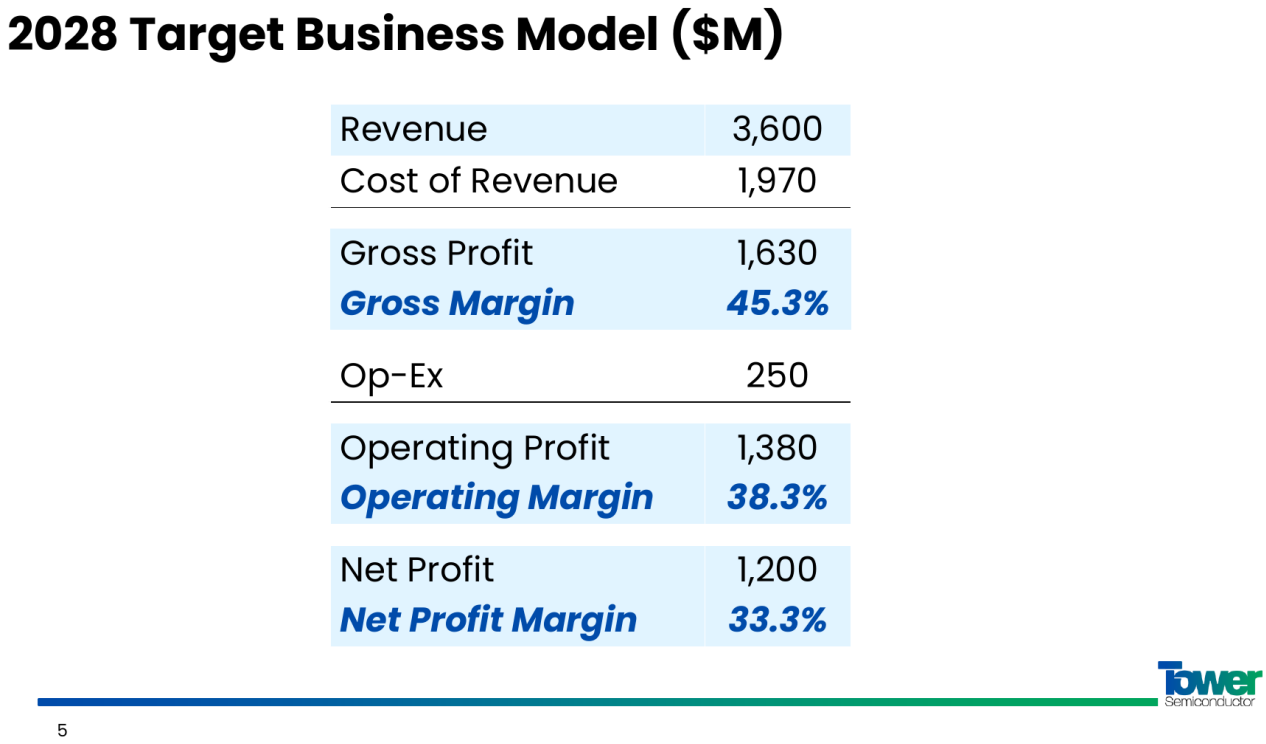


Tower issuer presentation, November 2,2026, PDF page 3. Original source image.

5. Source operating model

Management’s conditional 2028 business model is 3,600 revenue,1,630 gross profit,1,380 operating profit and 1,200 net profit. It assumes 85% utilization, successful equipment qualification, customer orders and selected future wafer prices. It includes Track 1 and excludes a required contribution from Track 2. [T 4]

The current forecast is built from explicit product and capacity inputs. It can differ from this management reference because the November call describes a different sequence of starts, shipments and customer engagement. Costs and cash remain attached to those modeled inputs.



Tower August 4,2026 supporting slides, PDF page 5. Management conditional 2028 model in USD millions; current physical and cost assumptions are stated in the report.

6. Analytical score

The analytical assessment totals 45/60, equivalent to 75/100. The protected Excel Base is 75. The score measures thesis quality separately from individual capacity probabilities.

Category	Points	Maximum
Core thesis	17	20
Cycle stage	8	10
TAM expansion	9	10
Catalysts	5	5
Macro	8	10
Alpha	2	5
Risks	-4	0
Total	45	60

6. Thesis, cycle and market

Core thesis 17/20: Qualified SiPho and SiGe processes support repeated customer generations. InnoLight early NPO production and Semtech’s long-term capacity agreement demonstrate engagement. Competing foundries and architectures remain credible.

Cycle 8/10: Record revenue and profit coincide with an investment phase. Capacity starts still require wafer processing, qualification and acceptance before producing revenue.

TAM 9/10: Pluggable, NPO, coherent and heterogeneous integration broaden process content. These opportunities share customer and wafer wallets, so the forecast applies capacity and overlap limits.

6. Catalysts, macro, information and risk

Catalysts 5/5: Q4 guidance, Q2 shipment conversion, Q3 Track 1 starts, later NPO adoption and 2029 Track 2 are dated operating tests.

Macro 8/10: AI connectivity and power requirements support optical adoption. Trade conditions, cycles and regional disruption remain material.

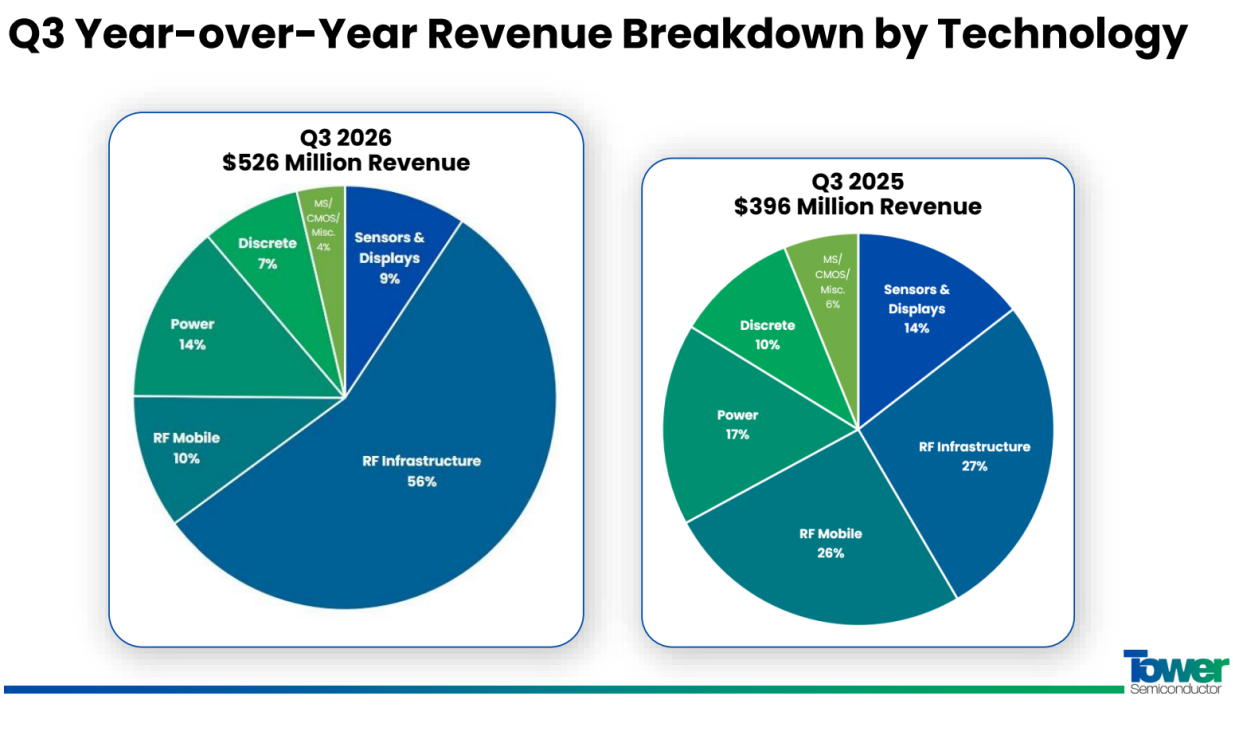
Alpha 2/5: The core financial and capacity claims are public. Local source work improves accounting detail, while precise wafer prices and allocations remain unavailable.

Risks-4: One point each for factory execution/funding, competitive pricing, customer concentration and geopolitics. The identified accounting proxies sit within these monitored classes.

7. Revenue mix and product boundaries

Q3 revenue by technology was 56% RF infrastructure,10% RF mobile,14% power,9% sensors/displays and 11% discrete/other. The source percentages are rounded. SiPho revenue was 240 according to management; SiGe is the remaining RF-infrastructure allocation in this model.

The six financial vectors are SiPho, SiGe, RF mobile, power, sensors and discrete/other. These contain the relevant NPO, coherent, laser-integration and customer-program economics once.



Tower issuer presentation, November 2,2026, PDF page 4. Original source image.

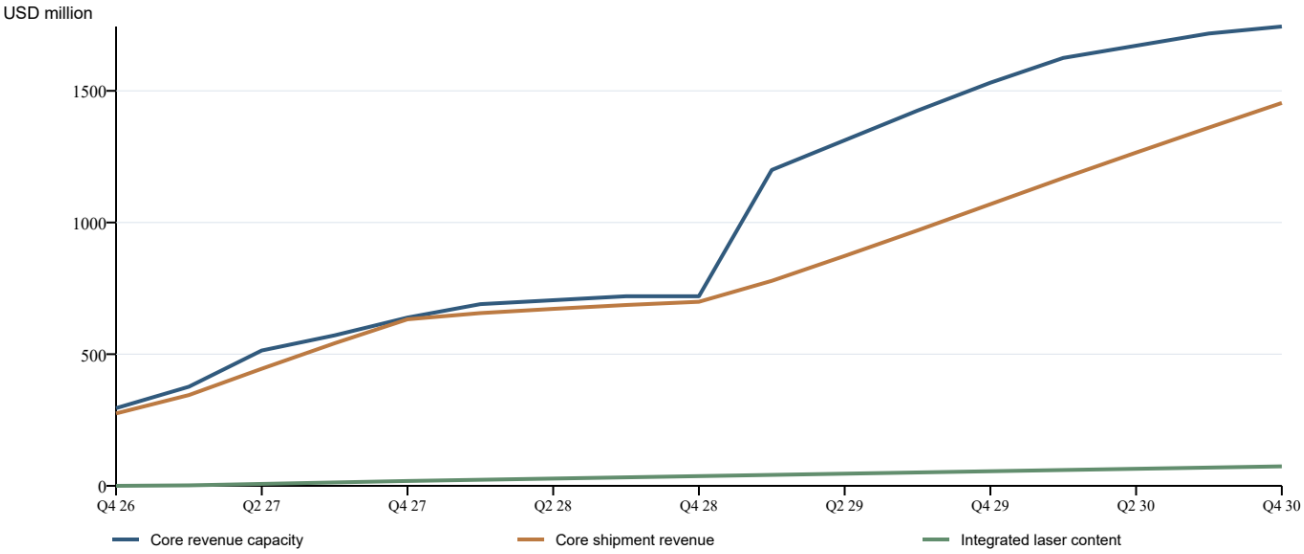
8. Silicon photonics and integrated lasers

Management says year-end 2026 start capacity should be twice the level supporting Q3 SiPho shipments of 240. It expects the full financial effect of this start rate in Q2 2027. Track 1 targets full starts in Q3 2027, creating total core capacity equivalent to three times that Q3 base. [T 2]

Three times 240 is 720 per quarter. The model carries a fabrication and qualification lag before the full shipment effect. The defined core capacity is separate from integrated-laser process content. Revenue from lasers receives 45% direct manufacturing cost and additional operating support.

The central core shipment path is 275 in Q4 2026 and 350/465/560/660 in 2027 before the capacity constraint. Higher or lower realized paths operate under the same physical and funding controls. The forecast gives no separate additive value to the entire module or AI system market.

SiPho core capacity, core shipments and integrated lasers



Core shipment revenue is capped before probability weighting. Integrated lasers are value-added process content inside the same SiPho wallet.

Numerical data: SiPho core capacity, core shipments and integrated lasers

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	Core revenue capacity	Core shipment revenue	Integrated laser content
Q4 2026	295.0000	275.0000	0.0000
Q1 2027	376.5000	344.7500	1.8500
Q2 2027	514.0000	444.7500	7.4000
Q3 2027	571.5000	541.5000	12.9500
Q4 2027	639.0000	632.5000	18.5000
Q1 2028	690.0000	656.0000	23.1250
Q2 2028	705.0000	672.0000	27.7500
Q3 2028	720.0000	686.7500	32.3750
Q4 2028	720.0000	699.0000	37.0000
Q1 2029	1,199.6500	778.5000	41.6250
Q2 2029	1,312.2750	873.0000	46.2500
Q3 2029	1,424.9000	970.0000	50.8750
Q4 2029	1,530.9000	1,069.5000	55.5000
Q1 2030	1,624.9750	1,169.0000	60.1250
Q2 2030	1,671.3500	1,265.5000	64.7500
Q3 2030	1,717.7250	1,360.5000	69.3750
Q4 2030	1,744.2250	1,454.0000	74.0000

9. Customer programs and competing requests

The November 3 Tower/InnoLight announcement reports first NPO early production on the PH18M process in California, plus multiple 300 mm NPO tape-outs. The products represent manufacturing progress; customer shipment volumes and Tower wafer prices remain undisclosed. [T 5]

The older attributed expert source describes requested customer quantities that can exceed one Japan manufacturing pool. The current financial model uses one capacity budget and one SiPho revenue wallet. It does not add every request as independently available supply.

Q31. Given ST's competitive advantages in capacity and pricing, will its 2027 silicon-photonics revenue be comparable to the company's? How will the company handle share allocation with core customers like InnoLight and Eoptolink?

The revenue comparison depends on how much order share ST ultimately wins away from the company. Take InnoLight as an example: its total demand is about 50,000–60,000 wafers; combined with Eoptolink's roughly 30,000 wafers, total market demand is close to 90,000–100,000 wafers. If the company reaches 60,000 wafers of capacity in 2027, even if InnoLight shifts some orders elsewhere, most of its business is expected to remain with the company. This is because the company has close R&D collaboration with InnoLight across product generations; if InnoLight significantly cut its order volume, it could hurt its own R&D progress, so starting from scratch with ST is not its best option.

The company's strategy is therefore clear: prioritize fully meeting InnoLight's needs. Within its 50,000–60,000-wafer capacity plan, the company will first secure InnoLight's orders, with remainingcapacity allocated next to Eoptolink, then Xihe. By locking in InnoLight — a core customer with more than half the market — the company can secure its market position, with other smaller customers being relatively secondary. It is certain that some share will shift to ST, but the exact amount is still being negotiated.

Q32. Besides STMicroelectronics, who are the other competitors in the 12-inch silicon-photonics space? What is their development status and competitiveness?

Apart from ST, two additional competitors are UMC and Xinyang. UMC collaborates with SilTerra China on 12-inch product development. SilTerra China is not our current customer and remains small-scale, but if UMC and SilTerra's partnership progresses smoothly, they may

P Equity Research / tuolaji, October 2,2026, PDF page 21. Attributed customer requests and allocation priority. Interview identity/date unavailable; publisher describes an AI translation.

10. Silicon germanium and power

The October 13 Semtech agreement reserves dedicated SiGe capacity across Tower’s manufacturing network. TIAs, drivers and equalizers support optical and copper architectures. The model places this business inside its SiGe vector; the agreement supplies no separately disclosed revenue amount. [T 6]

Management expects about 20% higher blended BCD prices in 2027 versus 2026 and identifies growth in AI/cloud, mobile and automotive applications. The power vector includes selected output and price assumptions with associated manufacturing costs. [T 2]

11. RF, sensors and the Japan perimeter

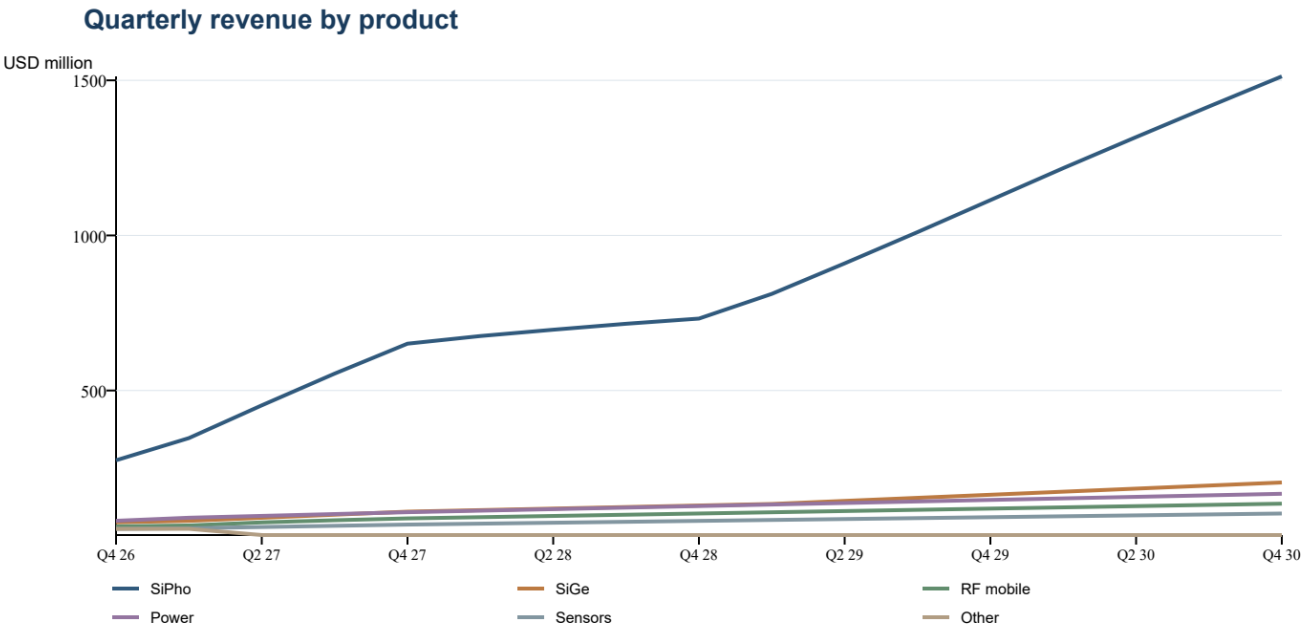
RF mobile migrates toward 300 mm output in Italy while freeing Japan capacity for SiPho and SiGe. Management expects record manufacturing activity during 2027, dependent on qualification and customer timing. Image sensors and OLED-on-silicon displays have distinct application and production paths. [T 2, T 3]

An April 1,2027 transaction is expected to give Tower full ownership of Fab 7 and Nuvoton full ownership of Fab 5, with mutual supply arrangements continuing. Nuvoton pays Tower 25 at closing. Exact disposed revenues, costs, assets and debt allocation are unavailable. [T 8]

The central low-confidence perimeter proxy removes 20 of quarterly other revenue and 17 of avoidable cash manufacturing cost from Q2 2027. Fixed costs, assets and debt receive no assumed release. The 25 receipt is one-time investing cash and contributes zero recurring operating profit. Tests use zero and 40 of removed revenue.

12. Complete quarterly product revenue

Quarter	SiPho	SiGe	RF mobile	Power	Sensors	Other
Q4 2026	275.0	75.0	62.0	80.0	54.0	54.0
Q1 2027	346.6	79.7	64.9	89.8	55.9	54.0
Q2 2027	452.1	89.6	74.8	95.8	59.9	34.0
Q3 2027	554.4	99.5	81.7	101.7	63.8	34.0
Q4 2027	651.0	109.4	87.6	107.7	67.8	34.0
Q1 2028	675.6	114.4	91.6	112.6	70.8	34.0
Q2 2028	696.0	119.3	95.6	117.6	73.7	34.0
Q3 2028	715.2	124.3	99.5	122.5	76.7	34.0
Q4 2028	731.9	129.2	103.5	127.5	79.7	34.0
Q1 2029	811.5	134.2	107.4	132.4	82.6	34.0
Q2 2029	909.9	144.1	111.4	137.4	85.6	34.0
Q3 2029	1,010.6	154.0	115.4	142.3	88.6	34.0
Q4 2029	1,113.8	163.9	119.3	147.3	91.6	34.0
Q1 2030	1,216.9	173.8	123.3	152.2	94.5	34.0
Q2 2030	1,317.0	183.7	127.2	157.2	97.5	34.0
Q3 2030	1,415.6	193.6	131.2	162.1	100.5	34.0
Q4 2030	1,512.8	203.5	135.2	167.1	103.4	34.0



USD million. Rounded technology mix is an analyst allocation of the reported consolidated anchor.

Numerical data: Quarterly revenue by product

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	SiPho	SiGe	RF mobile	Power	Sensors	Other
Q4 2026	275.0000	75.0000	62.0000	80.0000	54.0000	54.0000
Q1 2027	346.6000	79.7465	64.8762	89.8366	55.9135	54.0388
Q2 2027	452.1500	89.6465	74.7762	95.7766	59.8735	34.0388
Q3 2027	554.4500	99.5465	81.7062	101.7166	63.8335	34.0388
Q4 2027	651.0000	109.4465	87.6462	107.6566	67.7935	34.0388
Q1 2028	675.6250	114.3965	91.6062	112.6066	70.7635	34.0388
Q2 2028	696.0000	119.3465	95.5662	117.5566	73.7335	34.0388
Q3 2028	715.1562	124.2965	99.5262	122.5066	76.7035	34.0388
Q4 2028	731.8750	129.2465	103.4862	127.4566	79.6735	34.0388
Q1 2029	811.5000	134.1965	107.4462	132.4066	82.6435	34.0388
Q2 2029	909.8750	144.0965	111.4062	137.3566	85.6135	34.0388
Q3 2029	1,010.6250	153.9965	115.3662	142.3066	88.5835	34.0388
Q4 2029	1,113.7500	163.8965	119.3262	147.2566	91.5535	34.0388
Q1 2030	1,216.8750	173.7965	123.2862	152.2066	94.5235	34.0388
Q2 2030	1,317.0000	183.6965	127.2462	157.1566	97.4935	34.0388
Q3 2030	1,415.6250	193.5965	131.2062	162.1066	100.4635	34.0388
Q4 2030	1,512.7500	203.4965	135.1662	167.0566	103.4335	34.0388

13. Joint probabilities and overlap

Reference execution carries 60%, accelerated execution 15%, and delayed qualification with competitive pricing 25%. A single state determines manufacturing timing, realized output, price, costs and cash. The resulting company outcomes are valued before weighting.

Attributed wafer-pool and customer hypotheses are incorporated into the selected capacity and product paths. Additional revenue from those hypotheses is zero after overlap with the selected SiPho and SiGe vectors.

NPO, integrated lasers, coherent optics and the announced customer relationships inform the same underlying product wallets. The model does not add market-size, contract, capacity and customer-revenue claims independently.

State	Probability	Q4 2027 ceiling
reference	60%	324.03
accelerated	15%	346.39
delayed competition	25%	268.09

14. Manufacturing costs

Product gross-margin allocations start at 43.5% for SiPho,36% for SiGe,20% for RF mobile,32% for power and 25% for sensors. Other gross margin solves the consolidated Q3 gross-profit anchor. Product margins are low-confidence analyst allocations because the issuer does not disclose these segment margins.

The calibration removes identified depreciation, stock compensation, acquired-intangible amortization and lease costs from the cash manufacturing pool. Eighty-five percent of that cash pool varies with core units, and 15% is fixed. Unit cash costs improve 1% annually; fixed manufacturing cost grows 3% annually.

Ready Japan capital carries cash factory support of 0.2% per quarter. Integrated lasers carry 45% direct cash manufacturing costs. The SiPho operating-support rate is 1.2% of revenue above the source anchor. These selected costs prevent extra process content from entering operating profit without a cost.

Q14. Regarding the yield issues that arose during the process transfer at Fab 9, what is the current progress in resolving them, and what are the future yield-improvement targets?

This issue is being gradually resolved. Process transfers typically take about a year to stabilize; the silicon-photonics process transfer at Fab 9 began in Q4 2025, and the company expects related issues to be fully resolved by Q4 2026. At that point, the target is to raise Fab 9's yield to a level comparable to Fab 3's, i.e., above 90%. It should be noted that not all lots produced at Fab 9 have had serious problems — some products have achieved yields of 50%–60%.

By comparison, the process transfer at Fab 2 went much more smoothly. Fab 2 is one of the company's founding fabs, with extensive experience producing a wide range of product categories (such as sensors, BCD, RF SOI, CMOS, and discretes), and its engineering team has far more experience than Fab 9's. Fab 9 was acquired from Maxim Integrated and previously only produced its own products, soit has relatively less experience handling complex process transfers. Thanks to Fab 2's stable performance, customers like InnoLight and Eoptolink now tend to place new products at Fab 2, only accepting Fab 9 production when there is no other option.

Q15. For 12-inch wafer demand in 2027–2028, especially in NPO-related applications, what is the current market-demand forecast?

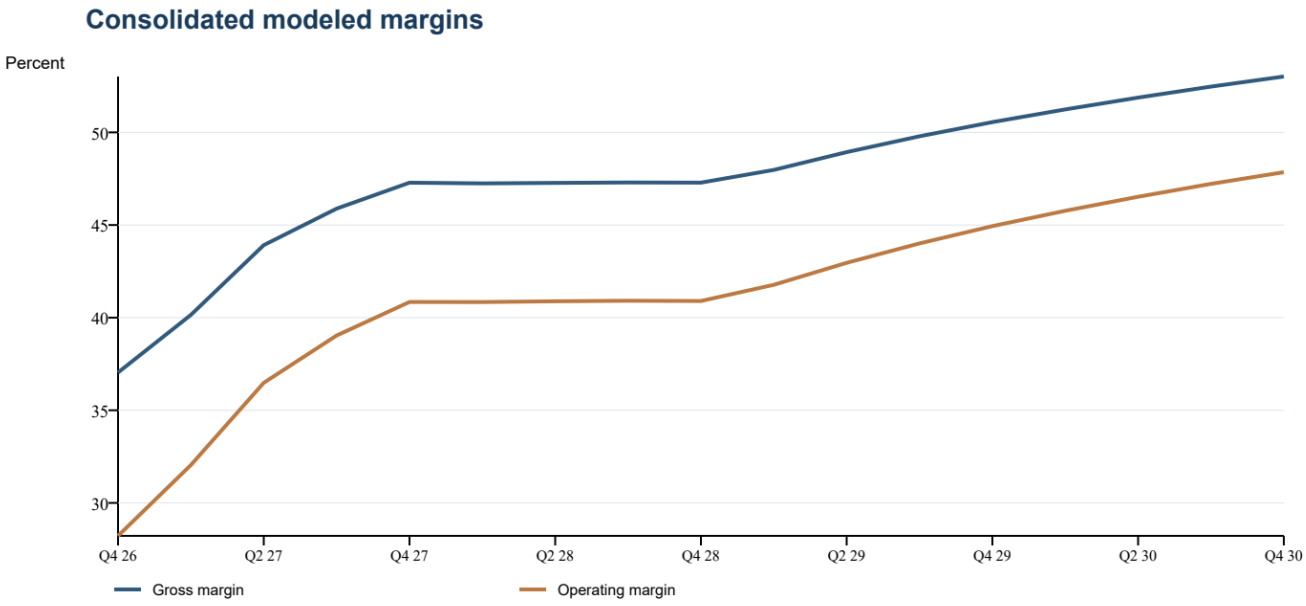
According to forecasts, total market demand for 12-inch wafer NPO over the 2027–2028 delivery period breaks down as follows: NVIDIA is expected to need 25 million 3.2T units for its NVL576 platform; Amazon is expected to need 17 million 6.4T units for its Trainium4 platform; and other smaller CSP customers' combined demand is about 9 million units. In addition, since demand from Google and Meta has not yet fully materialized, more than 10 million additional units of demand may be added in the future.

P Equity Research / tuolaji, October 2,2026, PDF page 14. Attributed Fab 9 transfer and yield discussion. Interview identity/date unavailable; publisher describes an AI translation.

15. Operating support and margins

The cash operating-expense pool is 85% fixed and 15% sales-linked. Fixed operating support grows 12% annually to fund research, qualification and geographic expansion. Stock compensation grows 10% annually from the Q3 source anchor.

Depreciation is 95% in manufacturing and 5% in operating expenses. Stock compensation is 25% in manufacturing and 75% in operating expenses. These allocation assumptions are visible and retain each expense once.



Company gross and operating margins use weighted financial amounts divided by weighted revenue.

Numerical data: Consolidated modeled margins

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	Gross margin	Operating margin
Q4 2026	37.0375	28.2219
Q1 2027	40.1492	32.0456
Q2 2027	43.9139	36.4825
Q3 2027	45.8843	39.0357
Q4 2027	47.2842	40.8460
Q1 2028	47.2458	40.8419
Q2 2028	47.2732	40.8836
Q3 2028	47.2951	40.9119
Q4 2028	47.2870	40.8983
Q1 2029	47.9734	41.7726
Q2 2029	48.9337	42.9586
Q3 2029	49.7887	44.0073
Q4 2029	50.5534	44.9397
Q1 2030	51.2391	45.7678
Q2 2030	51.8771	46.5247
Q3 2030	52.4707	47.2202
Q4 2030	53.0150	47.8515

16. Current and future capital commitments

The 920 capital program expands existing SiPho and SiGe capabilities. Management states 65% had been paid through Q3, leaving 322. The model schedules the remainder across Q4 2026 and the first half of 2027. [T 2]

The July 14 issuer FAQ describes total dual-track Japan investment of up toUSD 3 billion net of grants. The selected model reserves the full 3,000 as additional future cash spending and depreciable assets. This is a conservative upper-bound reserve: the amount already paid and attributable to those tracks is not separately disclosed. It does not assert that the entire announced total remains unpaid. [T 7]

The selected cash schedule is 1,000 in 2027,1,000 in 2028,800 in 2029 and 200 in 2030, plus the separate 322 tools program and maintenance. There is no additional grant cash inflow or invented gross-grant pool. Cost-overrun and 2,500 forward-capital-intensity tests retain the same physical capacity plan.

Quarter	Japan net reserve	Other tools	Maintenance	Total cash capex
Q4 2026	0.0	130.0	35.0	165.0
Q1 2027	250.0	120.0	40.0	410.0
Q2 2027	250.0	72.0	40.0	362.0
Q3 2027	250.0	0.0	40.0	290.0
Q4 2027	250.0	0.0	40.0	290.0
Q1 2028	250.0	0.0	50.0	300.0
Q2 2028	250.0	0.0	50.0	300.0
Q3 2028	250.0	0.0	50.0	300.0
Q4 2028	250.0	0.0	50.0	300.0
Q1 2029	200.0	0.0	60.0	260.0
Q2 2029	200.0	0.0	60.0	260.0
Q3 2029	200.0	0.0	60.0	260.0
Q4 2029	200.0	0.0	60.0	260.0
Q1 2030	50.0	0.0	70.0	120.0
Q2 2030	50.0	0.0	70.0	120.0
Q3 2030	50.0	0.0	70.0	120.0
Q4 2030	50.0	0.0	70.0	120.0

17. Capacity financed and commissioned

The first 1,000 of nominal ready Japan capital supports 240 of additional quarterly core SiPho capacity in the selected model. The next 2,000 supports 1,060 more, with Track 2 revenue starting in 2029. These dollar-capacity coefficients are low-confidence analytical conversion proxies.

Capacity follows actual readiness timing. The reference uses a one-quarter lag, the accelerated case advances readiness by one quarter, and the delayed case adds two quarters. Planned core shipment revenue is capped by the resulting available capacity.

Spending more for the same tools does not produce more capacity. Cost sensitivities change actual cash spending, asset cost and depreciation while holding nominal physical deployment fixed. The capacity bridge is independent of the amount of cash already paid.

Quarter	Core capacity	Core shipments	Laser content	Ready Japan assets
Q4 2026	295.0	275.0	0.0	0.0
Q1 2027	376.5	344.8	1.8	37.5
Q2 2027	514.0	444.8	7.4	225.0
Q3 2027	571.5	541.5	13.0	412.5
Q4 2027	639.0	632.5	18.5	662.5
Q1 2028	690.0	656.0	23.1	912.5
Q2 2028	705.0	672.0	27.8	1,162.5
Q3 2028	720.0	686.8	32.4	1,412.5
Q4 2028	720.0	699.0	37.0	1,662.5
Q1 2029	1,199.7	778.5	41.6	1,905.0
Q2 2029	1,312.3	873.0	46.2	2,117.5
Q3 2029	1,424.9	970.0	50.9	2,330.0
Q4 2029	1,530.9	1,069.5	55.5	2,530.0
Q1 2030	1,625.0	1,169.0	60.1	2,707.5
Q2 2030	1,671.3	1,265.5	64.8	2,795.0
Q3 2030	1,717.7	1,360.5	69.4	2,882.5
Q4 2030	1,744.2	1,454.0	74.0	2,932.5

company's total available capacity ceiling is 10,000 wafers per month, of which 9,000 will go to silicon-photonics production. During the ramp-up phase, full-year 2027 12-inch silicon-photonics capacity is expected to be about 50,000–60,000 wafers.

Q10. Given such large-scale capital investment, how does the company assess the return on investment and strategic necessity? What does this mean for solidifying its market position and addressing future risk?

This large-scale investment is based on considerations of strategic necessity and a high return on investment. Without this expansion, the company would be unable to meet customer demand, leading to customer loss. Through bold investment in its 8-inch line, the company has successfully locked in four major customers through 2028, effectively blocking competitors from entering this market segment.

Although Sirui does not work with the company, its market share is relatively small, mainly supplying customers like Accelink and AOI, with monthly volume of only a few thousand wafers. In terms of ROI, although capital expenditure is large, the silicon-photonics business is highly profitable. In addition, building the new 12-inch fab is also meant to resolve the company's long-standing shortage of 12-inch capacity. Currently, the company's 65nm RF SOI products for mobile front-end devices are made by leasing fab space from STMicroelectronics in Italy; building its own new fab would eliminate potential future supply-chain risk and ensure the company controls its own capacity.

Q11. Of the 10,000 wafers of total 12-inch capacity, why is only 9,000 being converted to silicon photonics? What is the remaining 1,000 used for?

Of the 10,000 wafers per month of total 12-inch capacity, 1,000 wafers are reserved to meet sensor demand.

P Equity Research / tuolaji, October 2,2026, PDF page 12. Attributed Japan wafer and capacity discussion. Interview identity/date unavailable; publisher describes an AI translation.

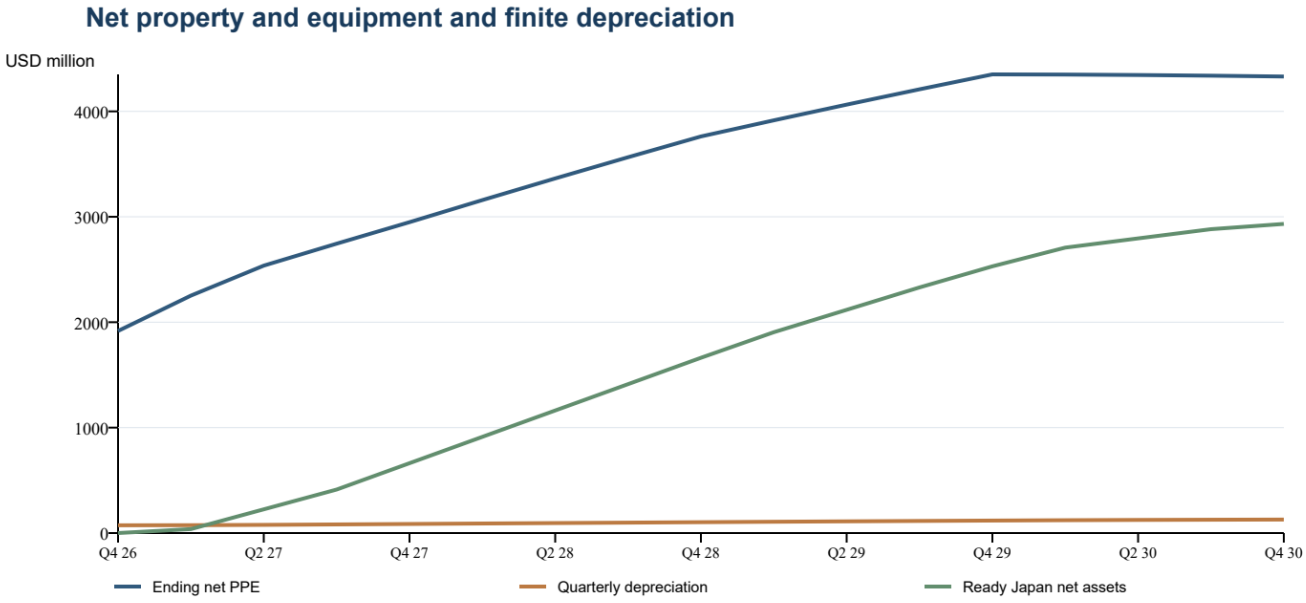
18. Finite assets and depreciation

Reported Q3 net property and equipment is 1,825.403. Legacy depreciation follows a declining quarterly expense capped by the remaining opening book.

The annual filing specifies 15 years for machinery/equipment and 7-25 years for buildings and infrastructure. New equipment uses 60 quarters and buildings 100 quarters. Half-quarter first and final depreciation applies. These lives match the disclosed class ranges; the actual mix and in-service dates remain modeled. [T 9]

The Q3 cash-flow line of 90.461 includes 11.042 of stock compensation and acquired-intangible amortization. The selected low-confidence split assigns 73.419 to PPE depreciation and 6 to prepaid-rent amortization. It reconciles the full 90.461. Alternative zero and 12 prepaid-rent allocations preserve this total and change PPE depreciation accordingly.

Quarter	Legacy depreciation	New depreciation	Ending net PPE
Q4 2026	73.4	0.2	1,916.8
Q1 2027	72.9	1.6	2,252.3
Q2 2027	72.3	5.3	2,536.7
Q3 2027	71.8	10.0	2,745.0
Q4 2027	71.2	14.8	2,948.9
Q1 2028	70.7	19.8	3,158.5
Q2 2028	70.1	24.5	3,363.8
Q3 2028	69.6	29.2	3,565.0
Q4 2028	69.1	33.9	3,762.1
Q1 2029	68.6	38.5	3,915.0
Q2 2029	68.0	42.9	4,064.0
Q3 2029	67.5	47.2	4,209.3
Q4 2029	67.0	51.3	4,351.0
Q1 2030	66.5	55.2	4,349.2
Q2 2030	66.0	58.3	4,344.9
Q3 2030	65.5	60.7	4,338.7
Q4 2030	65.0	62.9	4,330.8



Net assets and depreciation are finite modeled balances. Undisclosed Fab 5 disposed assets receive no assumed write-off or cost relief.

Numerical data: Net property and equipment and finite depreciation

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

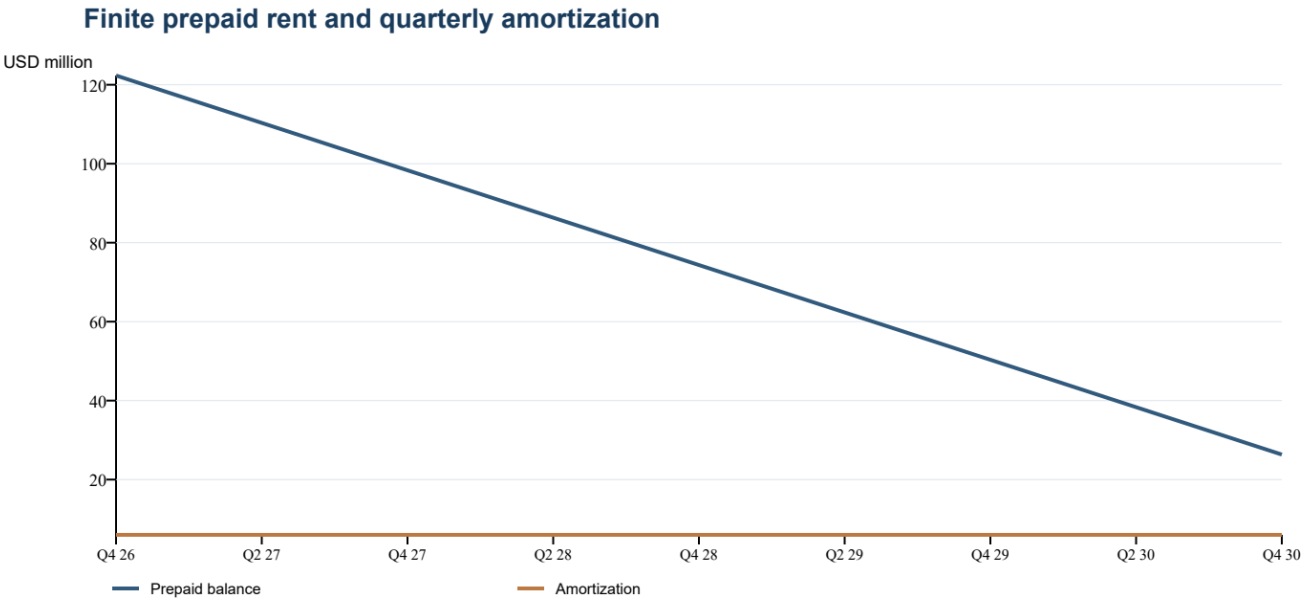
Quarter	Ending net PPE	Quarterly depreciation	Ready Japan net assets
Q4 2026	1,916.7901	73.6129	0.0000
Q1 2027	2,252.2831	74.5071	37.5000
Q2 2027	2,536.7191	77.5639	225.0000
Q3 2027	2,744.9861	81.7330	412.5000
Q4 2027	2,948.9255	86.0606	662.5000
Q1 2028	3,158.4741	90.4514	912.5000
Q2 2028	3,363.8040	94.6701	1,162.5000
Q3 2028	3,565.0051	98.7989	1,412.5000
Q4 2028	3,762.0538	102.9513	1,662.5000
Q1 2029	3,914.9735	107.0802	1,905.0000
Q2 2029	4,063.9954	110.9782	2,117.5000
Q3 2029	4,209.3033	114.6921	2,330.0000
Q4 2029	4,350.9718	118.3315	2,530.0000
Q1 2030	4,349.2397	121.7321	2,707.5000
Q2 2030	4,344.9258	124.3139	2,795.0000
Q3 2030	4,338.6841	126.2416	2,882.5000
Q4 2030	4,330.7851	127.8990	2,932.5000

19. Prepaid rent and operating leases

The 2025 annual filing reports 105 of Newport lease cash prepaid during 2025 and about 6 of quarterly expense through the extended lease term. That cash is already spent. The model uses 87 of remaining original prepaid value at Q3 as an explicit carry-forward proxy. [T 9]

The Q3 statement records a 41.337 cash use in other long-term assets. Management describes the long-term asset increase as mainly Newport lease and other prepayments. Assigning the full 41.337 to a separate prepaid-rent budget is a low-confidence attribution. It produces no new future cash receipt or payment. [T 1, T 2]

The combined prepaid budget amortizes at the selected 6 per quarter until exhausted. Ordinary recurring lease expense is separated from cash operating costs and replaced in cash flow with scheduled lease payments. The precise current lease split and prepaid carrying amount require the next detailed financial notes.



The original prepaid cash and the new Q3 cash use are modeled separately from future scheduled lease payments.

Numerical data: Finite prepaid rent and quarterly amortization

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	Prepaid balance	Amortization
Q4 2026	122.3370	6.0000
Q1 2027	116.3370	6.0000
Q2 2027	110.3370	6.0000
Q3 2027	104.3370	6.0000
Q4 2027	98.3370	6.0000
Q1 2028	92.3370	6.0000
Q2 2028	86.3370	6.0000
Q3 2028	80.3370	6.0000
Q4 2028	74.3370	6.0000
Q1 2029	68.3370	6.0000
Q2 2029	62.3370	6.0000
Q3 2029	56.3370	6.0000
Q4 2029	50.3370	6.0000
Q1 2030	44.3370	6.0000
Q2 2030	38.3370	6.0000
Q3 2030	32.3370	6.0000
Q4 2030	26.3370	6.0000

20. Complete operating forecast

Quarter	Revenue	Gross profit	Opex	Operating profit	OP margin
Q4 2026	600.0	222.2	52.9	169.3	28.2%
Q1 2027	691.0	277.4	56.0	221.4	32.0%
Q2 2027	806.3	354.1	59.9	294.1	36.5%
Q3 2027	935.3	429.2	64.1	365.1	39.0%
Q4 2027	1,057.6	500.1	68.1	432.0	40.8%
Q1 2028	1,099.0	519.2	70.4	448.9	40.8%
Q2 2028	1,136.2	537.1	72.6	464.5	40.9%
Q3 2028	1,172.2	554.4	74.8	479.6	40.9%
Q4 2028	1,205.8	570.2	77.0	493.1	40.9%
Q1 2029	1,302.2	624.7	80.7	544.0	41.8%
Q2 2029	1,422.4	696.0	85.0	611.0	43.0%
Q3 2029	1,544.9	769.2	89.3	679.9	44.0%
Q4 2029	1,669.8	844.2	93.7	750.4	44.9%
Q1 2030	1,794.7	919.6	98.2	821.4	45.8%
Q2 2030	1,916.6	994.3	102.6	891.7	46.5%
Q3 2030	2,037.0	1,068.8	107.0	961.9	47.2%
Q4 2030	2,155.9	1,143.0	111.3	1,031.6	47.9%



All operating expenses include the selected recurring stock compensation, depreciation, amortization and support costs.

Numerical data: Gross profit, operating costs and operating profit

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	Gross profit	Operating expenses	Operating profit
Q4 2026	222.2248	52.8935	169.3312
Q1 2027	277.4358	55.9970	221.4387
Q2 2027	354.0609	59.9163	294.1445
Q3 2027	429.1524	64.0547	365.0977
Q4 2027	500.0691	68.0898	431.9793
Q1 2028	519.2485	70.3811	448.8673
Q2 2028	537.1373	72.6010	464.5362
Q3 2028	554.4058	74.8254	479.5804
Q4 2028	570.1752	77.0327	493.1425
Q1 2029	624.7248	80.7488	543.9761
Q2 2029	696.0266	84.9886	611.0380
Q3 2029	769.1935	89.3168	679.8768
Q4 2029	844.1523	93.7398	750.4125
Q1 2030	919.6013	98.1952	821.4060
Q2 2030	994.2920	102.5852	891.7069
Q3 2030	1,068.8474	106.9542	961.8932
Q4 2030	1,142.9728	111.3228	1,031.6500

21. Shares, subsidiary interests and method

The sanctioned valuation is 20 times forward-four-quarter consolidated GAAP-style operating profit divided by the target quarter’s economic diluted-share proxy. There is no cash or net-debt addition to this OP-based price.

Reported Q3 weighted-average diluted shares are 114.463 million. The retained 0.4 million quarterly allowance gives 114.863 million for Q4 2026 and 116.463 million for Q4 2027. This is a forward economic dilution proxy; actual common shares and weighted diluted reporting quantities remain distinct.

The Japan restructuring changes the operating perimeter. The model retains consolidated OP treatment and separately shows a small net minority claim before closing. The parent net-income illustration removes this claim once; it does not create an additional OP ownership discount.

22. Tax and recurring net income

The model applies 15% book and cash tax to positive recurring pretax income, reflecting the disclosed minimum-tax risk from 2026. It assumes no cash benefit from unverified future loss utilization. Actual jurisdictional income, tax credits and payments may differ.

Recurring interest income uses a 3% annual rate on modeled opening cash and deposits. Bank and finance-lease interest remain separate expenses. Current FX gains, asset-sale gains and potential litigation receipts are excluded from recurring income.

The 25 Japan transaction receipt is investing cash at closing and has zero recurring operating-profit contribution. The precise accounting gain, asset transfer and debt allocation are unavailable.

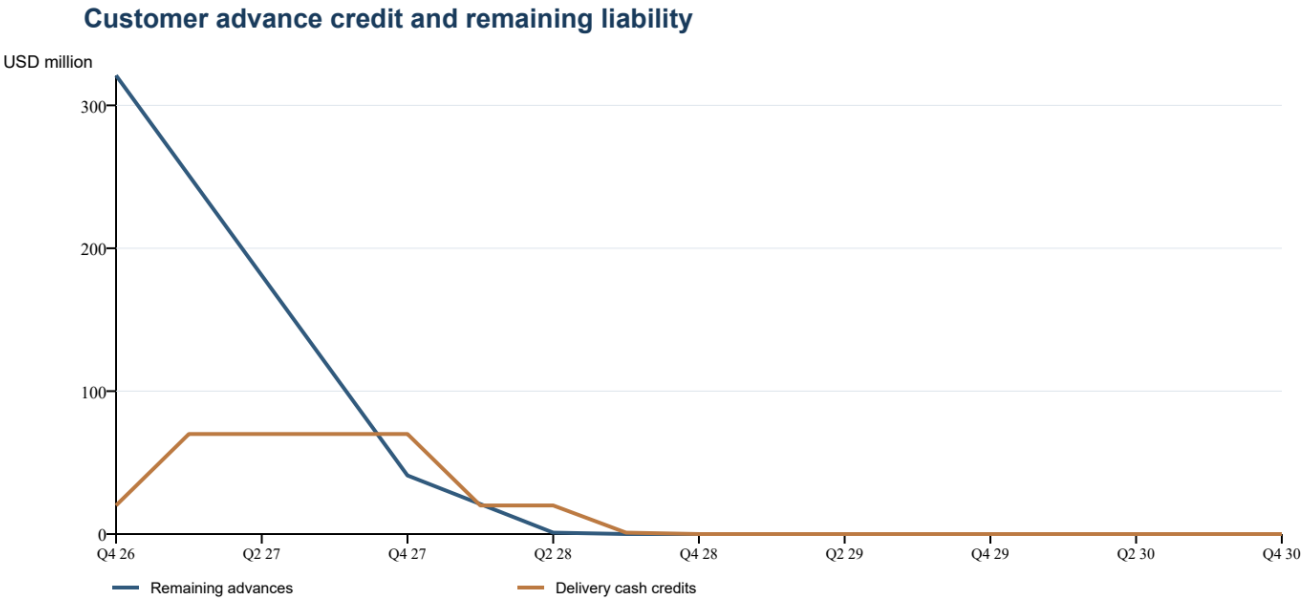
Quarter	Pretax	Tax	Net income	Parent NI	Minority claim
Q4 2026	179.7	27.0	152.7	151.6	1.1
Q1 2027	231.9	34.8	197.1	195.7	1.4
Q2 2027	302.8	45.4	257.4	257.4	0.0
Q3 2027	372.9	55.9	317.0	317.0	0.0
Q4 2027	439.7	66.0	373.7	373.7	0.0
Q1 2028	456.9	68.5	388.4	388.4	0.0
Q2 2028	473.8	71.1	402.7	402.7	0.0
Q3 2028	490.1	73.5	416.6	416.6	0.0
Q4 2028	505.3	75.8	429.5	429.5	0.0
Q1 2029	557.8	83.7	474.1	474.1	0.0
Q2 2029	627.1	94.1	533.0	533.0	0.0
Q3 2029	698.4	104.8	593.6	593.6	0.0
Q4 2029	772.0	115.8	656.2	656.2	0.0
Q1 2030	846.4	127.0	719.4	719.4	0.0
Q2 2030	921.8	138.3	783.5	783.5	0.0
Q3 2030	997.5	149.6	847.9	847.9	0.0
Q4 2030	1,073.4	161.0	912.4	912.4	0.0

23. Cash and deposits

Reported cash 250.748 plus short-term deposits 1,222.124 produce 1,472.872 of opening liquidity. The annual accounting policy describes deposits with original maturities beyond three months and remaining maturities below one year. The model treats the pool as available liquidity with maturity timing acknowledged. [T 1, T 9]

Trade receivables, inventories, payables, operating prepayments and ordinary accruals scale from the Q3 source ratios. Their cash changes are charged once. Cash flow adds back modeled noncash depreciation, stock compensation, amortization and prepaid rent, then replaces recurring lease cost with cash lease payments.

Customer advances fund earlier capacity but require future delivery credits. The opening 340.982 combined advance/deferred-revenue pool is drawn down through an explicit schedule, with no assumed new customer prepayment.



The opening customer cash is already included in liquidity and is not received a second time.

Numerical data: Customer advance credit and remaining liability

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	Remaining advances	Delivery cash credits
Q4 2026	320.9820	20.0000
Q1 2027	250.9820	70.0000
Q2 2027	180.9820	70.0000
Q3 2027	110.9820	70.0000
Q4 2027	40.9820	70.0000
Q1 2028	20.9820	20.0000
Q2 2028	0.9820	20.0000
Q3 2028	0.0000	0.9820
Q4 2028	0.0000	0.0000
Q1 2029	0.0000	0.0000
Q2 2029	0.0000	0.0000
Q3 2029	0.0000	0.0000
Q4 2029	0.0000	0.0000
Q1 2030	0.0000	0.0000
Q2 2030	0.0000	0.0000
Q3 2030	0.0000	0.0000
Q4 2030	0.0000	0.0000

23. Reported balance sheet

The September 30 balance sheet supplies the current liquidity, asset and liability anchors. The model retains separate loan, lease and customer-advance schedules.

Balance Sheet ($ in million)

	September 30, 2026	December 31, 2025
ASSETS		
Cash and cash equivalents	251	235
Short-term deposits	1,222	917
Trade accounts receivable	227	223
Inventories	263	257
Other current assets	48	78
Total current assets	**2,011**	**1,710**
Property and equipment, net	1,825	1,463
Other long-term assets, net	181	149
TOTAL ASSETS	**4,017**	**3,322**
LIABILITIES AND SHAREHOLDERS' EQUITY		
Short-term debt	13	28
Trade accounts payable	194	124
Customer prepayment and deferred revenue	249	26
Other current liabilities	85	86
Total current Liabilities	**541**	**264**
Long-term debt	140	133
Long-term customers' advances	92	2
Other long-term liabilities	36	18
TOTAL LIABILITIES	**809**	**417**
SHAREHOLDERS' EQUITY	**3,208**	**2,905**
TOTAL LIABILITIES & EQUITY	**4,017**	**3,322**

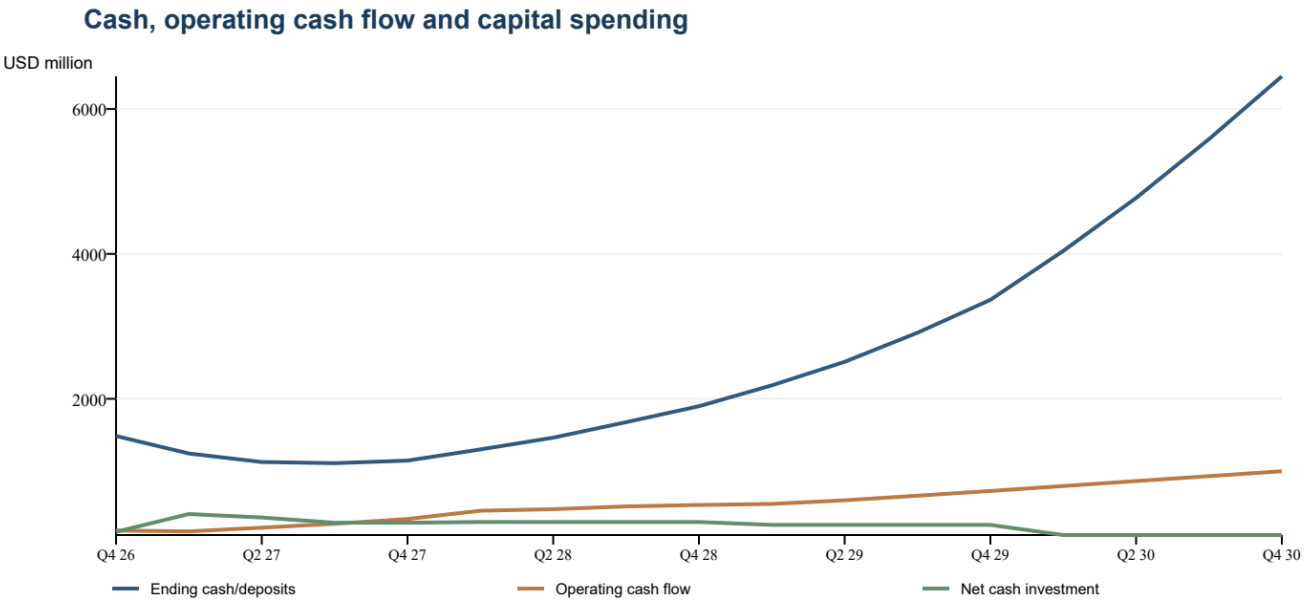
Tower Semiconductor

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Tower issuer presentation, November 2,2026, PDF page 5. Original source image.

24. Quarterly cash and funding

Quarter	CFO	Net capex	FCF	Delivery credits	End cash
Q4 2026	182.3	165.0	17.3	20.0	1,486.9
Q1 2027	170.3	410.0	-239.7	70.0	1,245.2
Q2 2027	221.8	362.0	-140.2	70.0	1,127.8
Q3 2027	275.9	290.0	-14.1	70.0	1,111.7
Q4 2027	341.1	290.0	51.1	70.0	1,147.5
Q1 2028	455.5	300.0	155.5	20.0	1,301.5
Q2 2028	477.1	300.0	177.1	20.0	1,463.8
Q3 2028	515.1	300.0	215.1	1.0	1,677.4
Q4 2028	534.9	300.0	234.9	0.0	1,897.6
Q1 2029	549.3	260.0	289.3	0.0	2,185.5
Q2 2029	599.5	260.0	339.5	0.0	2,510.4
Q3 2029	663.0	260.0	403.0	0.0	2,912.0
Q4 2029	728.3	260.0	468.3	0.0	3,365.7
Q1 2030	796.3	120.0	676.3	0.0	4,040.9
Q2 2030	865.2	120.0	745.2	0.0	4,771.9
Q3 2030	932.9	120.0	812.9	0.0	5,583.7
Q4 2030	1,000.4	120.0	880.4	0.0	6,449.8



Each scenario is fully solved before probability weighting. The minimum conditional forecast cash is 1,040.494; opening liquidity is 1,472.872.

Numerical data: Cash, operating cash flow and capital spending

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	Ending cash/deposits	Operating cash flow	Net cash investment
Q4 2026	1,486.9364	182.2644	165.0000
Q1 2027	1,245.1506	170.2755	410.0000
Q2 2027	1,127.8438	221.7544	362.0000
Q3 2027	1,111.6538	275.8712	290.0000
Q4 2027	1,147.4875	341.1189	290.0000
Q1 2028	1,301.4999	455.5404	300.0000
Q2 2028	1,463.8253	477.0774	300.0000
Q3 2028	1,677.4395	515.1423	300.0000
Q4 2028	1,897.6247	534.9371	300.0000
Q1 2029	2,185.5415	549.2906	260.0000
Q2 2029	2,510.4325	599.4887	260.0000
Q3 2029	2,912.0115	662.9528	260.0000
Q4 2029	3,365.6916	728.2778	260.0000
Q1 2030	4,040.9297	796.2676	120.0000
Q2 2030	4,771.8771	865.2009	120.0000
Q3 2030	5,583.7089	932.8614	120.0000
Q4 2030	6,449.8408	1,000.3854	120.0000

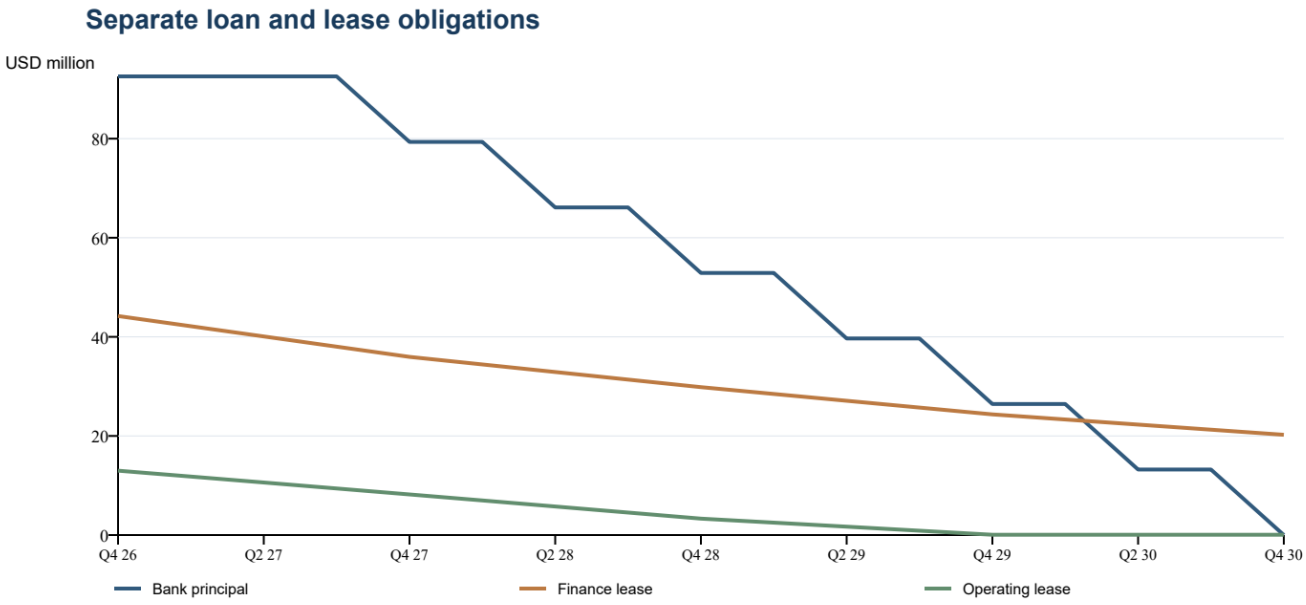
25. Loans and lease obligations

The Q3 reported 153.727 of current and long-term debt includes loans and lease obligations. The model splits it into 92.568 of loans,13.756 of operating leases and 47.403 of finance leases, with the latter two representing dated/residual allocation proxies. It adds no duplicate lease debt.

The annual loan schedule begins principal repayment in December 2027 and continues semiannually through December 2030 at a 2% stated rate. The current USD carrying amount can change with yen. Finance-lease principal and operating-lease payments use separate finite schedules. [T 9]

The model reserves all existing obligations without assuming debt relief from the undisclosed Fab 5 transfer terms. It raises no new credit or equity. Each scenario maintains the 300 cash floor; any shortfall would be exposed as an unfunded gap.

Quarter	Loan principal	Finance lease principal	Bank balance	Finance lease	Operating lease
Q4 2026	0.0	3.2	92.6	44.2	13.0
Q1 2027	0.0	2.1	92.6	42.1	11.8
Q2 2027	0.0	2.1	92.6	40.1	10.6
Q3 2027	0.0	2.1	92.6	38.0	9.4
Q4 2027	13.2	2.1	79.3	36.0	8.2
Q1 2028	0.0	1.5	79.3	34.4	7.0
Q2 2028	13.2	1.5	66.1	32.9	5.8
Q3 2028	0.0	1.5	66.1	31.4	4.5
Q4 2028	13.2	1.5	52.9	29.8	3.3
Q1 2029	0.0	1.4	52.9	28.5	2.5
Q2 2029	13.2	1.4	39.7	27.1	1.7
Q3 2029	0.0	1.4	39.7	25.7	0.9
Q4 2029	13.2	1.4	26.4	24.4	0.1
Q1 2030	0.0	1.0	26.4	23.3	0.1
Q2 2030	13.2	1.0	13.2	22.3	0.1
Q3 2030	0.0	1.0	13.2	21.3	0.1
Q4 2030	13.2	1.0	0.0	20.2	0.1



Existing loan and lease balances remain distinct. No contingent credit commitment is treated as available funding.

Numerical data: Separate loan and lease obligations

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	Bank principal	Finance lease	Operating lease
Q4 2026	92.5680	44.2030	12.9906
Q1 2027	92.5680	42.1418	11.7999
Q2 2027	92.5680	40.0805	10.6034
Q3 2027	92.5680	38.0192	9.4011
Q4 2027	79.3440	35.9580	8.1929
Q1 2028	79.3440	34.4300	6.9811
Q2 2028	66.1200	32.9020	5.7634
Q3 2028	66.1200	31.3740	4.5398
Q4 2028	52.8960	29.8460	3.3101
Q1 2029	52.8960	28.4722	2.5030
Q2 2029	39.6720	27.0985	1.6920
Q3 2029	39.6720	25.7248	0.8770
Q4 2029	26.4480	24.3510	0.0580
Q1 2030	26.4480	23.3215	0.0580
Q2 2030	13.2240	22.2920	0.0580
Q3 2030	13.2240	21.2625	0.0580
Q4 2030	0.0000	20.2330	0.0580

26. Shareholder returns

No future common dividend or buyback is assumed in the selected model. Management intends to fund expansion internally; the forecast tests that intention against operating cash, existing liquidity, customer credits and all selected capital spending.

The full 3,000 additional forward Japan reserve understates cash if part of the announced total has already been paid. The lower-capital-intensity and 20% overrun cases show the effect of this uncertainty without changing the physical capacity plan.

27. Complete rolling ceilings

Each valuation quarter uses that quarter and the next three quarters of consolidated OP. The final three forecast quarters have incomplete windows and remain blank. Scenario values use the same selected share convention and are weighted once.

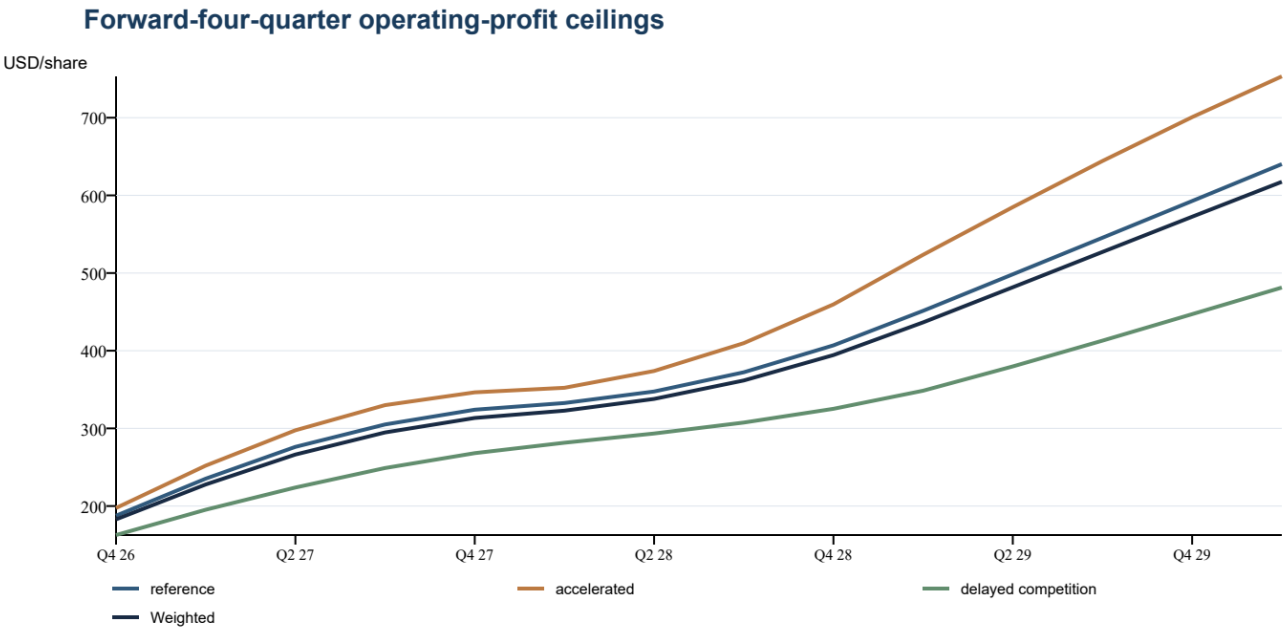
Quarter	F4 window	F4 operating profit	Multiple	Shares M	Ceiling USD
Q4 2026	Q4 2026 to Q3 2027	1,050.0	20	114.863	182.83
Q1 2027	Q1 2027 to Q4 2027	1,312.7	20	115.263	227.77
Q2 2027	Q2 2027 to Q1 2028	1,540.1	20	115.663	266.31
Q3 2027	Q3 2027 to Q2 2028	1,710.5	20	116.063	294.75
Q4 2027	Q4 2027 to Q3 2028	1,825.0	20	116.463	313.40
Q1 2028	Q1 2028 to Q4 2028	1,886.1	20	116.863	322.79
Q2 2028	Q2 2028 to Q1 2029	1,981.2	20	117.263	337.91
Q3 2028	Q3 2028 to Q2 2029	2,127.7	20	117.663	361.67
Q4 2028	Q4 2028 to Q3 2029	2,328.0	20	118.063	394.37
Q1 2029	Q1 2029 to Q4 2029	2,585.3	20	118.463	436.47
Q2 2029	Q2 2029 to Q1 2030	2,862.7	20	118.863	481.69
Q3 2029	Q3 2029 to Q2 2030	3,143.4	20	119.263	527.14
Q4 2029	Q4 2029 to Q3 2030	3,425.4	20	119.663	572.51
Q1 2030	Q1 2030 to Q4 2030	3,706.7	20	120.063	617.45
Q2 2030	-	-	20	120.463	-
Q3 2030	-	-	20	120.863	-
Q4 2030	-	-	20	121.263	-

28. Active valuation chain

Q4 2027 through Q3 2028 contains 1,824.963 of modeled consolidated operating profit. At 20 times and 116.463 million economic diluted shares, the current ceiling is USD 313.397949 per share.

Core capacity, accepted shipments, integrated process content, product costs, finite depreciation and operating support determine the numerator. The share allowance defines the denominator. Base 75 remains the separate protected portfolio ranking input.

Conditional state	Probability	F4 OP	Ceiling USD
reference	60%	1,886.9	324.03
accelerated	15%	2,017.1	346.39
delayed competition	25%	1,561.1	268.09
Weighted	100%	1,825.0	313.40



The current operating-profit valuation retains the sanctioned 20 times method.

Numerical data: Forward-four-quarter operating-profit ceilings

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	F4 window	reference	accelerated	delayed competition	Weighted
Q4 2026	Q4 2026 to Q3 2027	187.5656	197.4885	162.6639	182.8286
Q1 2027	Q1 2027 to Q4 2027	235.2482	252.0304	195.2576	227.7679
Q2 2027	Q2 2027 to Q1 2028	276.1903	297.5252	223.8532	266.3062
Q3 2027	Q3 2027 to Q2 2028	305.0354	329.9322	248.9572	294.7504
Q4 2027	Q4 2027 to Q3 2028	324.0272	346.3906	268.0922	313.3979
Q1 2028	Q1 2028 to Q4 2028	332.6315	352.2442	281.5088	322.7928
Q2 2028	Q2 2028 to Q1 2029	347.4728	373.8913	293.3830	337.9131
Q3 2028	Q3 2028 to Q2 2029	372.2252	409.7212	307.4919	361.6663
Q4 2028	Q4 2028 to Q3 2029	406.8826	459.6305	325.1889	394.3714
Q1 2029	Q1 2029 to Q4 2029	451.3728	523.5170	348.4927	436.4744
Q2 2029	Q2 2029 to Q1 2030	498.3626	584.8470	379.7664	481.6862
Q3 2029	Q3 2029 to Q2 2030	545.4395	644.2556	412.9432	527.1379
Q4 2029	Q4 2029 to Q3 2030	592.7323	700.7151	447.0569	572.5109
Q1 2030	Q1 2030 to Q4 2030	640.2373	753.2070	481.3136	617.4518

29. Calendar-year forecast

The 2026 row contains Q4 only. Annual totals sum full modeled calendar years from 2027. These totals have a different time basis from an annualized quarter-end capacity or sales rate.

Year	Revenue	Gross profit	OP	Net income	Net capex
2026 Q4 only	600.0	222.2	169.3	152.7	165.0
2027	3,490.1	1,560.7	1,312.7	1,145.2	1,352.0
2028	4,613.3	2,181.0	1,886.1	1,637.1	1,200.0
2029	5,939.4	2,934.1	2,585.3	2,256.9	1,040.0
2030	7,904.3	4,125.7	3,706.7	3,263.2	480.0

30. Sensitivities and uncertain estimates

The prepaid-rent tests preserve the Q3 noncash total while shifting its allocation between rent amortization and PPE depreciation. Fab 5 tests retain fixed costs and vary the removed revenue/cash-cost amount together.

The 20% capex overrun increases cash spending and depreciable cost without buying extra physical capacity. The 2,500 Japan-reserve case lowers forward capital intensity for the same plan. Track 2 revenue is excluded before 2029 in every base and sensitivity path.

The zero-laser case removes the value-added laser revenue and its costs. The standalone current core-capacity model therefore remains visible.

Sensitivity	Active ceiling	Minimum forecast cash	Max gap
Prepaid rent amortization 0	313.46	1,040.0	0.0
Prepaid rent amortization 12	313.34	1,041.0	0.0
Fab 5 revenue removed 0	315.30	1,034.0	0.0
Fab 5 revenue removed 40	311.49	1,047.0	0.0
Cash capex +20%	310.08	733.4	0.0
Readiness +2 quarters	298.00	1,042.0	0.0
Tax rate 20%	313.40	972.9	0.0
Zero laser value-add	304.20	1,037.2	0.0
No Track 2 expansion	313.40	1,040.5	0.0
Japan forward reserve 2,500	315.27	1,185.6	0.0

31. Conditional path: reference

Joint probability 60%. This complete conditional outcome is shown before weighting.

Quarter	F4 window	Revenue	OP	FCF	Ending cash	Ceiling
Q4 2026	Q4 2026 to Q3 2027	600.0	169.5	17.3	1,486.9	187.57
Q1 2027	Q1 2027 to Q4 2027	697.0	225.5	-240.0	1,244.9	235.25
Q2 2027	Q2 2027 to Q1 2028	828.0	306.7	-137.9	1,129.9	276.19
Q3 2027	Q3 2027 to Q2 2028	956.0	375.5	-3.0	1,124.8	305.04
Q4 2027	Q4 2027 to Q3 2028	1,088.0	448.1	61.6	1,171.1	324.03
Q1 2028	Q1 2028 to Q4 2028	1,130.0	466.9	172.8	1,342.3	332.63
Q2 2028	Q2 2028 to Q1 2029	1,162.0	479.6	194.7	1,522.2	347.47
Q3 2028	Q3 2028 to Q2 2029	1,194.0	492.2	230.1	1,750.8	372.23
Q4 2028	Q4 2028 to Q3 2029	1,226.0	504.8	247.8	1,983.9	406.88
Q1 2029	Q1 2029 to Q4 2029	1,328.0	560.6	302.9	2,285.4	451.37
Q2 2029	Q2 2029 to Q1 2030	1,455.0	632.2	356.0	2,626.9	498.36
Q3 2029	Q3 2029 to Q2 2030	1,582.0	704.3	423.5	3,049.0	545.44
Q4 2029	Q4 2029 to Q3 2030	1,709.0	776.5	491.7	3,526.1	592.73
Q1 2030	Q1 2030 to Q4 2030	1,836.0	848.9	701.1	4,226.2	640.24
Q2 2030	-	1,963.0	922.9	771.6	4,983.5	-
Q3 2030	-	2,090.0	998.1	842.4	5,824.9	-
Q4 2030	-	2,217.0	1,073.5	913.8	6,724.4	-

31. Conditional path: accelerated

Joint probability 15%. This complete conditional outcome is shown before weighting.

Quarter	F4 window	Revenue	OP	FCF	Ending cash	Ceiling
Q4 2026	Q4 2026 to Q3 2027	600.0	168.2	17.3	1,487.0	197.49
Q1 2027	Q1 2027 to Q4 2027	718.9	233.3	-241.7	1,243.3	252.03
Q2 2027	Q2 2027 to Q1 2028	855.9	316.2	-127.5	1,138.7	297.53
Q3 2027	Q3 2027 to Q2 2028	1,034.6	416.5	8.7	1,145.3	329.93
Q4 2027	Q4 2027 to Q3 2028	1,162.2	486.5	101.3	1,231.3	346.39
Q1 2028	Q1 2028 to Q4 2028	1,198.4	501.5	210.2	1,440.0	352.24
Q2 2028	Q2 2028 to Q1 2029	1,224.6	510.2	229.1	1,654.4	373.89
Q3 2028	Q3 2028 to Q2 2029	1,250.8	518.9	261.5	1,914.3	409.72
Q4 2028	Q4 2028 to Q3 2029	1,277.0	527.6	276.1	2,175.7	459.63
Q1 2029	Q1 2029 to Q4 2029	1,463.2	635.4	325.3	2,499.6	523.52
Q2 2029	Q2 2029 to Q1 2030	1,624.9	728.5	424.0	2,908.9	584.85
Q3 2029	Q3 2029 to Q2 2030	1,786.6	821.7	509.9	3,417.4	644.26
Q4 2029	Q4 2029 to Q3 2030	1,948.3	915.2	596.7	3,999.5	700.72
Q1 2030	Q1 2030 to Q4 2030	2,110.0	1,010.4	825.2	4,823.7	753.21
Q2 2030	-	2,251.7	1,094.4	915.0	5,724.5	-
Q3 2030	-	2,383.4	1,172.4	994.5	6,717.9	-
Q4 2030	-	2,505.1	1,244.4	1,069.4	7,773.1	-

31. Conditional path: delayed competition

Joint probability 25%. This complete conditional outcome is shown before weighting.

Quarter	F4 window	Revenue	OP	FCF	Ending cash	Ceiling
Q4 2026	Q4 2026 to Q3 2027	600.0	169.5	17.3	1,486.9	162.66
Q1 2027	Q1 2027 to Q4 2027	659.9	204.7	-237.9	1,246.9	195.26
Q2 2027	Q2 2027 to Q1 2028	724.3	250.8	-153.4	1,116.4	223.85
Q3 2027	Q3 2027 to Q2 2028	826.0	309.2	-54.6	1,059.8	248.96
Q4 2027	Q4 2027 to Q3 2028	921.8	360.6	-4.0	1,040.5	268.09
Q1 2028	Q1 2028 to Q4 2028	965.1	373.9	81.4	1,120.4	281.51
Q2 2028	Q2 2028 to Q1 2029	1,021.4	400.9	103.7	1,209.3	293.38
Q3 2028	Q3 2028 to Q2 2029	1,072.8	425.6	151.4	1,359.2	307.49
Q4 2028	Q4 2028 to Q3 2029	1,114.5	444.4	179.3	1,523.7	325.19
Q1 2029	Q1 2029 to Q4 2029	1,143.8	449.2	235.0	1,757.4	348.49
Q2 2029	Q2 2029 to Q1 2030	1,222.6	489.8	249.1	1,991.9	379.77
Q3 2029	Q3 2029 to Q2 2030	1,310.9	536.3	289.4	2,280.0	412.94
Q4 2029	Q4 2029 to Q3 2030	1,408.7	588.9	335.1	2,600.5	447.06
Q1 2030	Q1 2030 to Q4 2030	1,506.5	642.0	527.2	3,126.7	481.31
Q2 2030	-	1,604.3	695.3	579.9	3,692.4	-
Q3 2030	-	1,702.1	748.6	632.9	4,324.3	-
Q4 2030	-	1,799.9	803.5	686.8	4,996.8	-

32. Historical forecast retained

The published Q3 2026 forecast remains immutable with its original information vintage, quantities and rolling window. It is separate from the reported Q3 results elsewhere in this report.

Historical quarter	Original ceiling USD	Original diluted proxy M
Q3 2026	113.64102852424031	114.827

33. Technology and source limits

The retained source exhibits describe shared manufacturing tools, customer requests, yield assumptions and process capabilities. Expert quantities are attributed hypotheses. Customer demand can exceed the same fabrication pool, and an announced opportunity can overlap another product architecture.

The July issuer source identifies Track 1 as the basis of its 2028 financial model and Track 2 as a later expansion. The current model keeps those financial and timing scopes distinct.

6. What is the updated 2028 business model and how does Track Two impact it?

Based solely on the expected contribution from Track One Tower is increasing its 2028 business model to *approximately $3.6 billion of revenue and $1.2 billion of net profit*. These targets are achievable without any contribution from Track Two. The additional 300mm facility contemplated under Track Two is expected to begin contributing meaningfully starting in 2029 and is therefore not required to achieve the announced 2028 targets. Management views Track Two as a separate long-term growth platform that provides a pathway for continued expansion beyond the current business model horizon.

7. What level of customer demand supports this expansion?

The expansion is supported by strong customer engagement, forecast and direct requests as a result of multi-generation strategic partnerships, and increasing long-term demand visibility. While Tower does not disclose customer-specific commitments, the investment reflects demand well beyond current available capacity.

8. What is the expected investment and funding approach?

Total investment for the dual-track expansion is currently forecasted at up to $3 billion, net of grants. Tower currently expects to fund the project through existing cash resources, on going cash generation model, and governmental grants, while maintaining disciplined capital allocation.

Page **3** of **3**

Tower July 14,2026 Japan expansion FAQ, PDF page 3. Management total investment estimate is up toUSD 3 billion net of grants.

34. Catalysts and falsification

Monitor the Q4 revenue guidance, year-end start capacity and its conversion to Q2 shipments. Track the Q3 2027 commissioning schedule, accepted 300 mm flow, NPO deployment timing and customer contract conversion.

Compare SiPho core shipments with capacity separately from integrated-laser process content. Check the BCD price realization, RF qualifications, sensor demand and operating support costs.

Factory delays, weak accepted shipments, price competition or higher cash investment would favor the delayed case. New evidence of faster utilization needs corresponding capacity, variable-cost, depreciation and cash reconciliation.

35. Main risks

Factory execution and funding: equipment installation, qualification, yield, staff availability and payment timing can move independently. Cash balances and book depreciation must remain coherent.

Competitive pricing and concentration: the industry supports alternative foundries and technology routes, while a few important customer programs affect utilization. Capacity reservations and prepayments do not eliminate delivery or pricing risk.

Geopolitics and legal matters: tariffs, export restrictions, regional security, patent disputes and lease litigation can affect access, cost or continuity. No litigation award or termination recovery is included in recurring earnings.

Accounting estimates: exact Fab 5 disposed balances, current leases, attribution of other long-term cash assets and paid project amounts remain incomplete. Their proxy treatment and sensitivities remain visible.

36. Sources and completeness

T 1: November 2,2026 issuer earnings release with complete financial tables. T 2: issuer-hosted Q3 management transcript,21 pages, cover dated November 3; all 635 extracted lines reviewed. T 3: August 4 Q2 transcript,17 pages, all 602 lines reviewed. T 4: preserved Q2 supporting slides and management financial model.

T 5: November 3 Tower/InnoLight NPO announcement. T 6: October 13 Tower/Semtech capacity announcement. T 7: July 14 Japan expansion FAQ. T 8: original SEC June 30 interim financial statements, filed August 17. T 9: original SEC 2025 Form 20-F, filed April 30,2026.

The original Q3 supporting presentation and both SEC financial filings are preserved. Full transcript text is preserved through supported primary extraction because direct transcript PDF downloads returned 403. Audio was not reviewed. The event/cover date distinction remains explicit.

The February market memo and October 2 P Equity Research/tuolaji material are retained technical context with their original attribution and image content. The expert interview date and identity are unavailable; the latter material describes an AI translation. It receives no separate duplicate financial increment.

Source	Scope
T 1/T 2	Q3 earnings, guidance and full Q&A
T 3/T 4	Prior call and management reference
T 5/T 6	Current customer development and capacity
T 7	Total net-grant Japan budget
T 8/T 9	Ownership, shares, debt, leases and assets